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MORTGAGE AND SECURITY AGREEMENT

(WITH ABSOLUTE ASSIGNMENT OF LEASES, RENTS, AND PROFITS)

by and between

PALMETTO GATEWAY PARTNERS LLC,

a South Carolina limited liability company, as Borrower,

and

CALVERLEY HERITAGE BANK,

a Georgia state-chartered commercial bank, as Lender

Dated as of April 15, 2025

Property: 520–534 King Street, Charleston, South Carolina 29403

Tax Map Nos. 460-12-04-007, 460-12-04-008, and 460-12-04-009

together with the vacated Anson Lane strip

Loan No. 2025-CHS-0047 — Principal Amount $14,750,000.00

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MORTGAGE AND SECURITY AGREEMENT

This MORTGAGE AND SECURITY AGREEMENT (this "**Mortgage**") is made and entered into as of April 15, 2025, by and between **PALMETTO GATEWAY PARTNERS LLC**, a South Carolina limited liability company, whose principal office is at 88 Broad Street, Suite 200, Charleston, South Carolina 29401, South Carolina Secretary of State Filing No. 2024-0011287, federal employer identification number 84-6213750 ("**Borrower**"), and **CALVERLEY HERITAGE BANK**, a Georgia state-chartered commercial bank, whose principal office is at 412 Whitaker Street, Savannah, Georgia 31401, federal employer identification number 58-2947136 ("**Lender**").

RECITALS

A. The Loan. Lender has agreed to make a loan to Borrower in the original principal amount of Fourteen Million Seven Hundred Fifty Thousand and No/100 Dollars ($14,750,000.00) (the "**Loan**"), to be advanced in two components: (i) an initial advance at closing in the amount of Twelve Million Five Hundred Thousand and No/100 Dollars ($12,500,000.00) (the "**Initial Advance**"), and (ii) a renovation holdback in the amount of Two Million Two Hundred Fifty Thousand and No/100 Dollars ($2,250,000.00) (the "**Renovation Holdback**"), to be advanced on a draw basis in accordance with Article IX. The Loan is evidenced by a promissory note of even date herewith in the original principal amount of $14,750,000.00 executed by Borrower and payable to the order of Lender (as amended, restated, extended, renewed, replaced or supplemented from time to time, the "**Note**").

B. The Property. Borrower is acquiring fee simple title to the real property commonly known as 520–534 King Street, Charleston, South Carolina 29403, consisting of Lots 7, 8 and 9 of the Hampstead Village Plat, as recorded in Plat Book 41 at Page 218, together with the vacated Anson Lane strip, all in the Office of the Register of Mesne Conveyances for Charleston County, South Carolina (the "**RMC Office**"), and more particularly described on **Exhibit A** attached hereto and incorporated herein by this reference.

C. Security. This Mortgage is given to secure the Obligations (as defined in Article I), and Borrower desires to grant to Lender a first-priority mortgage lien on and security interest in the Property, and to absolutely assign to Lender all leases, rents, issues and profits of the Property, upon the terms and subject to the conditions set forth in this Mortgage.

D. Related Loan Documents. The Loan is also evidenced and secured by, and the Obligations are also guaranteed and supported by, the Note, an Assignment of Leases and Rents (to the extent Lender elects to require a separate instrument as contemplated by Article III), an Environmental Indemnity Agreement executed by Borrower and Neil Ashford Graydon, a Guaranty Agreement executed by Neil Ashford Graydon, a UCC-1 Financing Statement naming Borrower as debtor and Lender as secured party to be filed with the South Carolina Secretary of State (together with a fixture filing to be recorded in the RMC Office), and the other documents, instruments and agreements described in Section 1.1 or listed in the closing index for the Loan (collectively, together with this Mortgage, the "**Loan Documents**").

E. Guarantor. Neil Ashford Graydon, an individual residing at 14 Church Street, Charleston, South Carolina 29401, is the managing member and sole owner of Graydon Development Group LLC, the managing member of Borrower, and is the "**Guarantor**" under the Guaranty Agreement.

F. Renovation. Borrower intends to renovate and improve the Improvements in accordance with the Renovation Budget attached as **Exhibit C** at a total cost of $3,150,000.00, of which $2,250,000.00 is to be funded from the Renovation Holdback and $900,000.00 from Borrower's equity.

G. Environmental Condition. The Property is subject to a recorded land use restriction affecting Lot 7 (Tax Map No. 460-12-04-007) imposed by the South Carolina Department of Health and Environmental Control, which restriction runs with the land and must be complied with by Borrower and all successors and assigns, as more particularly provided in Article VIII.

H. Recording. This Mortgage is intended to be recorded in the RMC Office and constitutes a mortgage of real property and a security agreement within the meaning of the Uniform Commercial Code as enacted in South Carolina.

NOW, THEREFORE, in consideration of the Loan, the sum of Ten Dollars ($10.00) and other good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, and in order to secure the payment and performance of the Obligations, Borrower hereby mortgages, grants, bargains, sells, conveys, assigns, transfers, pledges, sets over, confirms and warrants unto Lender, and grants to Lender a continuing security interest in, all of Borrower's right, title and interest in and to the following property, rights, interests and estates, whether now owned or hereafter acquired (collectively, the "**Property**"), upon the terms and conditions set forth in this Mortgage:

ARTICLE I

DEFINITIONS AND RULES OF CONSTRUCTION

1.1 Defined Terms. In addition to terms defined elsewhere in this Mortgage, the following terms have the meanings set forth below. Terms used in Article IX of the Uniform Commercial Code as enacted in South Carolina ("**UCC**") and not otherwise defined herein have the meanings given to them in the UCC.

"**Advance**" means any advance of the proceeds of the Loan, including the Initial Advance and each advance of the Renovation Holdback.

"**Business Day**" means any day other than a Saturday, a Sunday or a day on which commercial banks in Savannah, Georgia, or Charleston, South Carolina, are authorized or required by law to close.

"**Closing Date**" means the date on which the Initial Advance is funded.

"**Code**" means the Internal Revenue Code of 1986, as amended.

"**Completion Guaranty**" means the completion guaranty executed by Guarantor in favor of Lender as described in Section 9.11.

"**Condemnation**" means any taking of the Property or any portion thereof, or any interest therein or right accruing thereto, by any authority having the

power of eminent domain, whether by exercise of such power or by conveyance in lieu thereof.

"**Debt Service Coverage Ratio**" or "**DSCR**" means, for any period of determination, the ratio of Net Operating Income for such period to Annual Debt Service for such period.

"**Default Rate**" means a per annum rate of interest equal to the sum of (a) the rate of interest then in effect under the Note, plus (b) five percent (5.00%) per annum, but in no event in excess of the maximum rate permitted by applicable law.

"**Environmental Indemnity Agreement**" means the environmental indemnity agreement of even date herewith executed by Borrower and Guarantor in favor of Lender, as amended, restated or supplemented from time to time.

"**Event of Default**" means any event or condition described in Article XII.

"**GAAP**" means generally accepted accounting principles in the United States, consistently applied.

"**Guaranty Agreement**" means the guaranty agreement of even date herewith executed by Guarantor in favor of Lender, as amended, restated or supplemented from time to time.

"**Impositions**" means all real estate taxes, ad valorem taxes, assessments, water charges, sewer rents and other governmental charges, general and special, ordinary and extraordinary, foreseen and unforeseen, which are at any time levied, assessed or imposed upon or against the Property or the rents, issues or profits thereof.

"**Improvements**" means all buildings, structures, fixtures, building systems and other improvements of every kind now or hereafter located on, in or upon the Land, including, without limitation, all HVAC equipment, elevators, plumbing, electrical systems, fire protection and life safety systems, roof and roof membrane systems, the decorative iron balcony on the King Street elevation, and the vapor barrier system beneath the ground-floor slab of Lot 7.

"**Indebtedness**" means the principal amount of the Loan outstanding from time to time, all accrued and unpaid interest thereon (including interest at the Default Rate), all fees, late charges, the Yield Maintenance Premium, and all other sums, costs, expenses and liabilities of every kind and nature now or hereafter owing by Borrower to Lender under the Note, this Mortgage or any other Loan Document, together with all renewals, extensions, modifications and refinancings thereof.

"**Land**" means the real property described on **Exhibit A** together with all rights, privileges, tenements, hereditaments, easements, appurtenances and development rights now or hereafter belonging or appertaining thereto, including, without limitation, all right, title and interest of Borrower in and to the vacated Anson Lane strip and any land lying in the bed of any street, road, alley or right-of-way, vacated or proposed to be vacated, adjoining the Land.

"**Leases**" means each and every lease, sublease, license, occupancy agreement, concession agreement and other agreement, whether written or oral, now or hereafter existing, affecting or relating to the Property or any part thereof,

together with all guaranties, security and extensions, renewals and amendments thereof, including, without limitation, those described on **Exhibit D**.

"**Loan Documents**" means this Mortgage, the Note, the Guaranty Agreement, the Completion Guaranty, the Environmental Indemnity Agreement, any Assignment of Leases and Rents executed in accordance with Article III, the UCC-1 Financing Statement and fixture filing, each reserve or escrow agreement, the Operating Agreement Amendment described in Section 6.8, and each other document, instrument, certificate or agreement now or hereafter executed by Borrower, Guarantor or any other person in connection with the Loan, as any of the foregoing may be amended, restated, extended, renewed, replaced or supplemented from time to time.

"**Net Operating Income**" or "**NOI**" means, for any period, the gross operating revenues of the Property actually collected for such period (including base rent, additional rent, expense reimbursements and other income, but excluding security deposits, proceeds of insurance and Condemnation, capital contributions, loans and interest income), less the actual operating expenses of the Property paid for such period (including management fees, insurance, Impositions, utilities, repairs and maintenance, and common area costs, but excluding debt service, capital expenditures, tenant improvement costs, leasing commissions and depreciation), determined on a trailing twelve (12) month basis in accordance with GAAP consistently applied, as certified by Borrower and reasonably approved by Lender.

"**Annual Debt Service**" means, for any period, the sum of all regularly scheduled payments of principal and interest that would be payable with respect to the then outstanding principal balance of the Loan during such period (a) during the Interest-Only Period, at the interest-only rate then in effect under the Note, and (b) following the Interest-Only Period, computed on the basis of the twenty-five (25) year amortization schedule then in effect under the Note, in each case without giving effect to any prepayment, acceleration or balloon payment.

"**Operating Agreement Amendment**" means the amendment, in form and substance reasonably satisfactory to Lender, to the Amended and Restated Operating Agreement of Borrower listed in Section 6.8 and required to be executed by all of Borrower's members and delivered at Closing as a condition precedent to the Closing.

"**Operating Expenses**" has the meaning set forth in the definition of Net Operating Income.

"**Obligations**" means all of the Indebtedness and all other obligations, covenants and liabilities of Borrower under or in respect of the Loan, the Note, this Mortgage and the other Loan Documents, whether now or hereafter existing, direct or indirect, absolute or contingent, monetary or non-monetary, and all extensions, renewals, modifications and replacements thereof.

"**Permitted Exceptions**" means those matters listed on **Exhibit B** and those matters approved in writing by Lender after the date hereof.

"**Person**" means any individual, corporation, partnership, limited liability company, trust, joint venture, association, governmental authority or other entity.

"**Renovation Budget**" means the budget for the Renovation Work attached as **Exhibit C**, as the same may be amended from time to time with Lender's prior written consent.

"**Renovation Work**" means the renovation and improvement of the Improvements described in the Renovation Budget and in the plans and specifications approved by Lender, including, without limitation, HVAC replacement, elevator modernization, façade restoration (including repair of the decorative iron balcony), and tenant improvement work for vacant space at the Property, together with all soft costs and contingency associated therewith.

"**Requisition**" means the AIA G702/G703 Application and Certificate for Payment and the related draw request and architect's certificate described in Article IX.

"**SPE**" and "**Single-Purpose Entity**" mean an entity that satisfies each of the requirements set forth in Section 6.7.

"**Substantial Completion**" means the completion of the Renovation Work in accordance with the approved plans and specifications, as certified by Borrower's architect, together with the issuance by the City of Charleston of a certificate of occupancy (or equivalent final inspection approval) for the renovated portions of the Property.

"**Substantial Completion Deadline**" means June 15, 2026, being fourteen (14) months after the Closing Date.

"**Tenant**" means any tenant, subtenant, licensee or occupant under any Lease.

"**Treasury Rate**" means the yield to maturity, as of the second (2nd) Business Day preceding the Prepayment Date, of the United States Treasury security having a maturity date closest to, but not exceeding, the last day of the Yield Maintenance Period, as reported in the Federal Reserve Statistical Release H.15 — Selected Interest Rates (or any successor publication). If no published maturity matches such last day, the Treasury Rate shall be determined by linear interpolation between the two (2) nearest published maturities. If such release is not available, Lender shall determine the Treasury Rate in good faith from another recognized published source, and Lender's determination shall be conclusive absent manifest error.

"**Yield Maintenance Period**" means the period commencing on the date that is twenty-four (24) months after the Closing Date and ending on the last day of the forty-eighth (48th) month after the Closing Date.

"**Yield Maintenance Premium**" means the amount, if any, determined in accordance with Section 4.5.

"**Interest-Only Period**" means the period commencing on the Closing Date and ending on April 15, 2027.

"**Lockout Period**" means the period commencing on the Closing Date and ending on the last day of the twenty-fourth (24th) month after the Closing Date.

"**Maturity Date**" means April 15, 2030.

"**Prepayment Date**" means the date on which a prepayment of the Indebtedness is made.

1.2 Rules of Construction. Unless the context otherwise requires: (a) headings are for convenience only and do not affect interpretation; (b) "including" means "including without limitation"; (c) "or" is not exclusive; (d) references to Articles, Sections and Exhibits are to articles and sections of, and exhibits to, this Mortgage; (e) the singular includes the plural and vice versa, and references to any gender include all genders; (f) references to any statute or regulation include any successor provisions, and to any document include such document as amended, restated, supplemented or replaced in accordance with its terms and, where applicable, the Loan Documents; (g) references to "days" mean calendar days unless "Business Days" are specified; (h) "writing" includes electronic transmission; (i) this Mortgage has been negotiated by the parties with the assistance of counsel, and no rule of construction resolving ambiguities against the drafting party shall apply; and (j) whenever Borrower is obligated to do or refrain from doing any act, such obligation includes the obligation to cause each Tenant, contractor, agent and affiliate of Borrower to do or refrain from doing such act to the extent within Borrower's control.

ARTICLE II

GRANT OF MORTGAGE LIEN AND SECURITY INTEREST

2.1 Granting Clause; Property Mortgaged. Borrower hereby mortgages and grants to Lender a first-priority mortgage lien upon, and a security interest in, the Property, which consists of the following, together with all products and proceeds thereof:

(a) the Land, and the fee simple estate therein, together with all rights, privileges, tenements, hereditaments, easements, rights-of-way, appurtenances and development rights now or hereafter belonging or appertaining thereto;

(b) all Improvements now or hereafter erected on, in or upon the Land, including, without limitation, all buildings, structures, fixtures, building systems, HVAC equipment, elevators, plumbing, electrical systems, fire protection systems, the vapor barrier beneath the ground-floor slab of Lot 7, and the decorative iron balcony on the King Street elevation;

(c) all personal property, equipment, furniture, furnishings, trade fixtures, inventory and supplies owned by Borrower and used or useful in connection with the ownership, operation, renovation, leasing or maintenance of the Property;

(d) all accounts, deposit accounts, reserve accounts, escrow accounts, impound accounts and other accounts and reserves established in connection with the Loan, together with all sums at any time held therein and all interest and earnings thereon;

(e) all insurance proceeds, unearned premiums, Condemnation awards and other payments arising from the damage, destruction, taking or diminution

in value of the Property or any portion thereof, and all rights to receive the same;

(f) all permits, licenses, entitlements, approvals, development rights, zoning rights, certificates of occupancy, governmental authorizations and applications therefor relating to the Property, including, without limitation, all approvals of the City of Charleston Board of Architectural Review;

(g) all contracts, subcontracts, warranties, guaranties, indemnities, suretyships and claims relating to the acquisition, construction, renovation, operation, maintenance or repair of the Property, including, without limitation, Borrower's interest in the construction contract with Beaufort Builders Group LLC dated on or about the date hereof (the "**Construction Contract**") and all change orders, amendments and supplements thereto;

(h) all Leases, and all rents, issues, profits, revenues, income, security deposits, advance rentals, key money and other sums now or hereafter payable under the Leases or otherwise derived from the Property, which are hereby absolutely assigned to Lender in accordance with Article III;

(i) all books, records, files, plans, specifications, shop drawings, as-built drawings, surveys, tests, reports and data relating to the Property, including all environmental reports and the SCDHEC remediation file for Site ID SC-29403-0772;

(j) all rights of Borrower in and to any and all utility, access, drainage and other easements benefiting the Property, whether or not of record;

(k) all trade names, trademarks, service marks, domain names, telephone numbers and goodwill associated with the Property;

(l) all judgments, claims, awards and settlements relating to the Property or the Renovation Work;

(m) all minerals, oil, gas and other hydrocarbon substances in, on or under the Land, together with all as-extracted collateral (if any) and all proceeds thereof;

(n) all additions, accessions, replacements, substitutions and betterments to any of the foregoing;

(o) all rents and revenues of the Property accruing from and after the occurrence of an Event of Default; and

(p) all proceeds and products of each and every item described above, in whatever form, including insurance proceeds, Condemnation awards and all rights to payment.

2.2 Habendum; Defeasance. TO HAVE AND TO HOLD the Property unto Lender, its successors and assigns, forever. PROVIDED, HOWEVER, that if Borrower shall pay and perform all of the Obligations at the time and in the manner provided in the Loan Documents, then this Mortgage and the estate hereby granted shall be released and satisfied of record in accordance with Section 2.9; otherwise, this Mortgage shall remain in full force and effect.

2.3 Fixture Filing; Security Agreement. This Mortgage constitutes a security agreement under the UCC with respect to all personal property, fixtures, accounts, general intangibles, instruments, chattel paper and other collateral described in this Article II in which Borrower now or hereafter has rights, and with respect to which Lender now or hereafter has rights as secured party. Borrower authorizes Lender to file, at Borrower's expense, (a) a UCC-1 Financing Statement with the South Carolina Secretary of State naming Borrower as debtor and Lender as secured party covering all personal property collateral, fixtures and as-extracted collateral, and (b) a fixture filing in the RMC Office, together with any continuation statements, amendments and additional filings, which filings may describe the collateral by type or as "all assets of the debtor" to the fullest extent permitted by the UCC. Borrower shall execute and deliver such further financing statements as Lender may reasonably request.

2.4 Obligations Secured; Maximum Amount. This Mortgage secures the payment and performance of all Obligations. The maximum principal amount of Indebtedness secured hereby at any one time outstanding shall not exceed Fourteen Million Seven Hundred Fifty Thousand and No/100 Dollars ($14,750,000.00), together with all accrued and unpaid interest thereon, the Yield Maintenance Premium, late charges, advances made by Lender to protect the Property, and all costs, expenses and attorneys' fees incurred in connection with the enforcement or preservation of Lender's rights. This Mortgage shall not secure any obligation that is not a bona fide obligation of Borrower to Lender, and the maximum amount secured hereby shall not be increased without Lender's written consent.

2.5 Future Advances. This Mortgage is intended to secure, and Lender is authorized to make, future Advances to and for the account of Borrower, including each advance of the Renovation Holdback under Article IX and any advance made by Lender to protect, preserve or repair the Property or to pay Impositions, insurance premiums or other charges under Section 13.9. Borrower acknowledges and agrees that the Renovation Holdback Advances constitute advances required to be made by Lender upon satisfaction of the conditions set forth in the Loan Documents and, except to the extent Lender has committed to make such advances, may be made in Lender's discretion. Borrower intends that this Mortgage secure each such future Advance with the same priority as the Initial Advance, and Borrower acknowledges that Lender is relying on this Section 2.5 in requiring the title insurance endorsements for future advances described in Section 6.8.

2.6 Legal Description. The Property is more particularly described by reference to **Exhibit A**, which is incorporated herein by reference and made a part of this Mortgage for all purposes. Reference in this Mortgage to the Property includes each and every parcel and tax map number described in **Exhibit A**, including, without limitation, Tax Map Nos. 460-12-04-007, 460-12-04-008 and 460-12-04-009 and the vacated Anson Lane strip conveyed to Borrower's predecessor in title by quitclaim deed recorded in Deed Book 1128 at Page 443, RMC Office.

2.7 Priority; Permitted Exceptions. This Mortgage is intended to be a first-priority mortgage lien on and security interest in the Property, subject only to the Permitted Exceptions. Lender's acceptance of any matter as a Permitted Exception, or any title matter shown on the title insurance policy or commitment, (a) shall not constitute a waiver of any Event of Default arising from a breach of any representation, warranty or covenant in the Loan Documents, and (b) shall not release Borrower from any obligation to cause any matter to be removed, cured or insured over as required by the Loan Documents.

2.8 No Power of Sale. Lender shall not have, and this Mortgage shall not be construed to grant, any power of sale or any right to foreclose other than by appropriate judicial proceedings in the courts of the State of South Carolina or any other court having jurisdiction. Borrower acknowledges that the State of South Carolina does not permit the foreclosure of a mortgage of real property by exercise of a power of sale.

2.9 Release. Upon payment and performance in full of all Obligations, Lender shall, within a reasonable time following written request and at Borrower's expense, deliver a satisfaction and release of this Mortgage and appropriate termination statements under the UCC. No release of any portion of the Property shall impair the lien of this Mortgage on the remainder, and any such release shall be conditioned upon compliance with Section 7.2.

2.10 Cross-Collateralization and Cross-Default. The Property and all other collateral now or hereafter held by Lender securing any Obligation secures all Obligations, and any default under the Note, the Guaranty Agreement, the Completion Guaranty, the Environmental Indemnity Agreement or any other Loan Document shall constitute an Event of Default under this Mortgage notwithstanding that such default does not directly relate to the Property.

ARTICLE III

ABSOLUTE ASSIGNMENT OF LEASES, RENTS AND PROFITS

3.1 Absolute and Present Assignment. For good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, Borrower hereby unconditionally, presently and absolutely grants, transfers, sells, assigns, conveys and sets over to Lender all of Borrower's right, title and interest, whether now owned or hereafter acquired, in, to and under (a) all Leases and all guaranties, security and other credit support therefor, and (b) all rents, issues, profits, revenues, income, percentage rent, additional rent, expense reimbursements, escalation payments, parking income, security deposits, advance rentals and all other sums now or hereafter payable under or in connection with the Leases or otherwise arising from the use or occupancy of the Property, without reservation and without any limitation. This assignment is an absolute and present assignment and not a collateral assignment given as additional security, and it is intended to be effective immediately upon the execution and delivery of this Mortgage and to be perfected upon recordation hereof in the RMC Office, in accordance with the South Carolina Uniform Assignment of Rents Act, S.C. Code Ann. Title 29, Chapter 3, Article 6, as amended (the "**Assignment of Rents Act**"). Borrower acknowledges that it has received the consideration for this absolute assignment and that the assignment is not conditioned upon the occurrence of an Event of Default.

3.2 License to Collect Prior to Default. Notwithstanding Section 3.1, Lender hereby grants to Borrower a revocable license to collect, use and enjoy the rents, issues and profits of the Property for so long as no Event of Default has occurred and is continuing. Such license shall be automatically revoked, without further notice or action, upon the occurrence of an Event of Default. Borrower shall hold all security deposits in trust for the benefit of Lender and the applicable Tenants and shall not apply any security deposit except in accordance with the applicable Lease and applicable law. Borrower shall not waive, discount, prepay, compromise or anticipate any rent or other sum due under any Lease more than one (1) month in advance without Lender's prior written consent.

3.3 Enforcement Upon Default. Upon and during the continuance of an Event of Default, Lender may, at its option and in addition to all other remedies, enforce this assignment by giving written notice to any or all Tenants directing them to pay all rents and other sums due under their respective Leases directly to Lender or to its designee, and Borrower irrevocably authorizes and directs each Tenant to make such payments upon receipt of such notice. Borrower acknowledges and agrees that, under the Assignment of Rents Act, Lender may collect the rents and enforce the assignment without the necessity of obtaining a court order, without appointing a receiver, and without any further act, consent or authorization by Borrower, and that each Tenant is authorized to rely conclusively on Lender's written notice. Tenant payments made to Lender in accordance with such notice shall discharge such Tenant's payment obligation to the extent paid. Borrower hereby irrevocably appoints Lender as its attorney-in-fact, coupled with an interest, to demand, collect, receive, receipt for, sue for, compromise and give acquittance for any rents assigned hereby, and to endorse any instrument or check received in payment thereof. The foregoing appointment is coupled with an interest and is not revoked by Borrower's dissolution, insolvency or bankruptcy.

3.4 Tenant Notices; Estoppel Certificates; SNDAs. Borrower shall, promptly upon Lender's request (and in any event within five (5) Business Days after request), (a) join with Lender in notifying any Tenant of the existence of this Mortgage and this assignment, and (b) use commercially reasonable efforts to obtain and deliver to Lender tenant estoppel certificates and subordination, non-disturbance and attornment agreements ("**SNDAs**") in form and substance reasonably acceptable to Lender. Borrower acknowledges that (i) the Leases identified in **Exhibit D** as lacking express estoppel, SNDA or assignment-consent provisions are so identified, (ii) the Estoppel Certificates and SNDAs from the Tenants in occupancy as of the Closing Date are conditions precedent to the Closing under the Loan Documents and the title commitment, and (iii) Borrower shall not be relieved of such condition by reason of any Tenant's refusal to cooperate, it being agreed that Borrower shall pursue such certificates and agreements diligently and in good faith.

3.5 Security Deposits. Borrower confirms that the aggregate security deposits held under the Leases as of the date of **Exhibit D** are $69,183.00, consisting of $18,050.00 held under the Lowcountry Provisions Inc. Lease, $15,200.00 held under the Harmon & Wren Design Studio LLC Lease, and $35,933.00 held under the Tidemark Consulting Group LLC Lease. Borrower shall not apply any security deposit to any obligation of Borrower other than in accordance with the applicable Lease and applicable law, and shall, upon Lender's request following an Event of Default, transfer all security deposits to Lender or to a segregated account under Lender's control.

3.6 No Merger; Lender Not Liable. The assignment in this Article III shall not operate to merge the leasehold estate of any Tenant with Borrower's fee estate. Lender shall not, by reason of this Mortgage or this assignment, be deemed to have assumed or become liable for the performance of any obligation of Borrower under any Lease, including any obligation to fund tenant improvements, leasing commissions, repairs, free rent or security deposit refunds, unless and until Lender actually takes possession of the Property and expressly assumes such obligations in writing. Borrower shall remain solely liable for all landlord obligations under the Leases, and shall indemnify Lender against all claims arising therefrom as provided in Section 14.9.

3.7 Authority to Assign; Lowcountry Provisions Lease. Borrower represents, warrants and covenants that it has the full right, power and authority to absolutely assign all Leases and all rents, issues and profits of the Property, and that no Lease requires the consent of, or notice to, any Person as a condition to the effectiveness of the assignment made in this Article III. Without limiting the foregoing, Borrower specifically represents and warrants that the Lease with Lowcountry Provisions Inc. (Bay 1, 520 King Street) does not contain any provision prohibiting, restricting or conditioning the assignment of such Lease or the rents thereunder, and Borrower confirms that such Lease is silent as to assignment and subletting. Borrower covenants that it shall use commercially reasonable efforts, at the next renewal, extension or amendment of the Lowcountry Provisions Inc. Lease (and in any event, if requested by Lender, at any earlier time such Tenant is willing to do so), to obtain a lease amendment adding a customary provision consenting to the assignment of the Lease and of the rents thereunder to Lender and requiring the Tenant to deliver estoppel certificates and an SNDA upon request.

3.8 Recording; Separate Instrument. This Mortgage, including this absolute assignment, shall be recorded in the RMC Office, and such recording shall perfect Lender's interest in the assigned rents as provided in the Assignment of Rents Act. If Lender determines that a separate Assignment of Leases and Rents is necessary or advisable to perfect, evidence or enforce its rights, or if the title insurer so requires, Borrower shall promptly execute and deliver such separate instrument in form reasonably satisfactory to Lender, the execution and delivery of which shall be at Borrower's sole cost and shall not diminish any of Lender's rights hereunder.

ARTICLE IV

PAYMENT, PREPAYMENT AND CHARGES

4.1 Payment of the Indebtedness. Borrower shall pay the Indebtedness strictly in accordance with the Note and this Mortgage, without setoff, counterclaim, defense or deduction of any kind. Monthly installments of interest and, following the Interest-Only Period, of principal and interest shall be due and payable on the fifteenth (15th) day of each calendar month, commencing May 15, 2025. During the Interest-Only Period, each monthly installment shall consist solely of accrued interest on the outstanding principal balance of the Loan. Commencing with the installment due May 15, 2027, and continuing through the Maturity Date, each monthly installment shall be in the amount required to fully amortize the then-outstanding principal balance of the Loan over a twenty-five (25) year amortization period at the interest rate then in effect under the Note. The entire outstanding principal balance, together with all accrued and unpaid interest and all other amounts due under the Loan Documents, shall be due and payable in full on the Maturity Date. In the event of any conflict between this Section 4.1 and the Note, the Note shall control.

4.2 Interest Rate. The Loan shall bear interest at a floating rate per annum equal to Daily SOFR plus two hundred eighty-five (285) basis points (2.85%), subject to a SOFR floor of three percent (3.00%) per annum; accordingly, the interest rate under the Note shall not be less than five and 85/100 percent (5.85%) per annum. Capitalized terms used in this Section 4.2 and not defined herein have the meanings given in the Note.

4.3 Lockout Period; No Voluntary Prepayment. Borrower shall not prepay the Loan, in whole or in part, at any time during the Lockout Period. Any tender of payment made in violation of this Section 4.3 may be refused by Lender, and if Lender elects to accept any such payment, Borrower shall pay, in addition to all other amounts then due, the Yield Maintenance Premium computed in accordance with Section 4.5 as though the Prepayment Date were a date within the Yield Maintenance Period. The foregoing restriction shall not apply to (a) payments of principal and interest in accordance with the Note, (b) application of insurance proceeds or Condemnation awards in accordance with Article XI, which, subject to Section 4.8, shall be applied at par without premium, or (c) payments made with the proceeds of a casualty or Condemnation, which shall likewise be applied at par without premium.

4.4 Yield Maintenance Period; Whole Prepayment Only. At any time during the Yield Maintenance Period, Borrower may prepay the Loan in whole, but not in part, upon not less than thirty (30) days' prior written notice to Lender (which notice shall be revocable only with Lender's consent and which shall specify the Prepayment Date), and upon payment on the Prepayment Date of (a) the entire outstanding principal balance of the Loan, (b) all accrued and unpaid interest thereon, (c) the Yield Maintenance Premium, and (d) all other amounts then due under the Loan Documents. No partial prepayment shall be permitted during the Yield Maintenance Period.

4.5 Yield Maintenance Premium. The "Yield Maintenance Premium" payable in connection with a prepayment during the Yield Maintenance Period (or an ineligible prepayment under Section 4.3 or Section 4.7) shall equal the greater of:

(a) one percent (1.00%) of the principal amount of the Loan outstanding on the Prepayment Date; and

(b) the present value, determined as of the Prepayment Date, of the excess, if any, of (i) the aggregate amount of interest that would have accrued on the principal amount prepaid, computed at the rate of interest in effect under the Note on the Prepayment Date, for the period from the Prepayment Date through the last day of the Yield Maintenance Period, over (ii) the aggregate amount of interest that would have accrued on such principal amount for the same period, computed at a per annum rate equal to the Treasury Rate plus fifty (50) basis points (0.50%).

For purposes of clause (b), the differential described above shall be computed on a monthly basis over the number of full and partial months remaining in the Yield Maintenance Period (each such month being treated as one-twelfth of a year and each partial month being prorated on the basis of a 30-day month and a 360-day year), and each monthly amount shall be discounted to present value as of the Prepayment Date at a monthly discount rate equal to the Treasury Rate divided by twelve (12), using the formula P = A ÷ (1 + r)^n, where "P" is the present value of each monthly amount, "A" is such monthly amount, "r" is the Treasury Rate divided by twelve (12), and "n" is the number of months from the Prepayment Date to the date on which such amount would have accrued. The Yield Maintenance Premium shall in no event be less than the amount determined under clause (a), and in no event shall any circumstance result in a Yield Maintenance Premium of less than zero.

Borrower acknowledges that the Yield Maintenance Premium is intended to compensate Lender for the loss of the benefit of its bargain resulting from the prepayment of a fixed-spread, floating-rate obligation at a time when interest rates have declined, that such loss is difficult if not impossible to calculate with precision, and that the Yield Maintenance Premium is a reasonable estimate of such loss and constitutes liquidated damages and not a penalty. Borrower waives, to the fullest extent permitted by law, any defense to the enforcement of the Yield Maintenance Premium based on the assertion that it is a penalty, unconscionable, or an unreasonable estimate of Lender's loss. Lender shall provide Borrower with a written calculation of the Yield Maintenance Premium within five (5) Business Days after request, which calculation shall be conclusive absent manifest error.

4.6 Open Prepayment Period. At any time during the final twelve (12) months of the term of the Loan (that is, from and after the expiration of the Yield Maintenance Period through the Maturity Date), Borrower may prepay the Loan in whole or in part, at any time and from time to time, without payment of any prepayment premium, penalty or yield maintenance amount, upon not less than fifteen (15) days' prior written notice to Lender specifying the Prepayment Date and the amount to be prepaid. Amounts prepaid in part shall be applied to the outstanding principal balance and shall not reduce or otherwise affect the amount of any scheduled installment of interest or principal thereafter due, except as calculated in accordance with the Note.

4.7 Ineligible Prepayments. If Borrower makes any prepayment (a) during the Lockout Period, (b) in part during the Yield Maintenance Period, or (c) otherwise other than in accordance with Sections 4.4 or 4.6, then Borrower shall pay, in addition to the amount prepaid, a prepayment premium equal to the Yield Maintenance Premium determined under Section 4.5 (with the principal amount prepaid being substituted for the principal amount outstanding for purposes of clause (a) thereof), and Lender may, at its option, refuse to accept such payment. Acceptance of any ineligible prepayment shall not constitute a waiver of any Event of Default arising therefrom.

4.8 Involuntary Prepayments. Amounts applied to the Indebtedness as a result of a casualty or a Condemnation in accordance with Article XI shall be applied at par, without any prepayment premium or Yield Maintenance Premium, and shall be applied in the order of application set forth in Section 13.8. Lender may, but shall not be obligated to, permit restoration of the Improvements in accordance with Section 11.8.

4.9 Application of Payments. All payments received shall be applied in the following order: (a) costs and expenses (including attorneys' fees) incurred by Lender in connection with the enforcement or preservation of its rights; (b) late charges; (c) the Yield Maintenance Premium and any prepayment premium; (d) interest at the Default Rate; (e) interest at the rate otherwise payable under the Note; (f) principal; and (g) all other amounts due under the Loan Documents. Lender may apply payments in any other order it elects in its discretion notwithstanding any designation by Borrower.

4.10 Late Charge. If any installment of principal, interest or other amount due under the Loan Documents is not received by Lender within ten (10) calendar days after the date on which it is due, Borrower shall pay to Lender on demand a late charge equal to five percent (5.00%) of the overdue amount. The late charge is intended to compensate Lender for the additional administrative expense of processing delinquent payments and is not a penalty, and it is payable in addition to, and not in lieu of, interest at the Default Rate. The imposition of a late charge shall not cure any payment default, shall not extend any cure period, and shall not constitute a waiver of any Event of Default.

4.11 Default Rate. Upon the occurrence and during the continuance of an Event of Default, the outstanding principal balance of the Loan and, to the extent permitted by law, all other amounts due under the Loan Documents, shall bear interest at the Default Rate, from the date of the occurrence of such Event of Default until such Event of Default is cured or the Loan is repaid in full, whichever first occurs. Interest at the Default Rate shall be payable on demand, shall itself bear interest at the Default Rate if not paid when due, and shall be secured by this Mortgage.

4.12 Interest Rate Limitation. Notwithstanding anything to the contrary, no provision of this Mortgage or any other Loan Document shall require the payment or permit the collection of interest in excess of the maximum rate permitted by applicable law, and if any excess is received, it shall be applied to principal or refunded to Borrower.

ARTICLE V

REPRESENTATIONS AND WARRANTIES

Borrower represents and warrants to Lender, as of the date hereof and as of the Closing Date (and, except for the representations in Sections 5.7 and 5.8, as of each date on which an Advance is made), as follows:

5.1 Organization; Authority. Borrower is a limited liability company duly organized, validly existing and in good standing under the laws of the State of South Carolina (Secretary of State Filing No. 2024-0011287) and is duly qualified to do business in each jurisdiction in which the nature of its business requires qualification. Borrower has full power and authority to own the Property, to carry on its business as presently conducted and as contemplated by the Loan Documents, and to execute, deliver and perform this Mortgage and the other Loan Documents to which it is a party. The execution, delivery and performance of this Mortgage have been duly authorized by all necessary limited liability company action, including the written consent of the members of Borrower required for a financing in excess of $1,000,000 under Section 3.2 of Borrower's Operating Agreement.

5.2 Enforceability; No Conflicts. This Mortgage has been duly executed and delivered by Borrower and constitutes the legal, valid and binding obligation of Borrower, enforceable against Borrower in accordance with its terms, subject to applicable bankruptcy, insolvency, reorganization, moratorium and similar laws affecting creditors' rights generally and to general principles of equity. The execution, delivery and performance of this Mortgage do not and will not (a) violate Borrower's Articles of Organization or Operating Agreement (as amended through the date hereof and as amended by the Operating Agreement Amendment), (b) violate any applicable law, order or judgment, (c) result in the creation of any lien on the Property other than in favor of Lender and the Permitted Exceptions, or (d) constitute a default under any material agreement to which Borrower is a party, including the Construction Contract and the Leases.

5.3 Title to the Property. Borrower will, upon recording of the deed described in Recital B and immediately prior to the recording of this Mortgage, be the sole fee simple owner of the Land and the Improvements, subject only to the Permitted Exceptions, and will have good and marketable title thereto. Borrower has the full right, power and authority to mortgage the Property and to grant the security interests and assignments provided in this Mortgage.

5.4 Legal Description; Survey. The description of the Property set forth in **Exhibit A** is a true, correct and complete description of the Land, including all three (3) tax parcels and the vacated Anson Lane strip, and conforms to the legal description contained in the title commitment issued by Prestige Title & Settlement Services LLC, Commitment No. PT-2025-04-1178, effective February 28, 2025 (the "**Title Commitment**"), and to the ALTA/NSPS Land Title Survey of the Property prepared by Cartwright Land Surveying LLC and certified to Lender, the title insurer and Borrower. There are no improvements, encroachments or uses of the Property that are not reflected in such survey, except as disclosed therein or in the Title Commitment.

5.5 Permitted Exceptions; Encroachment. The Permitted Exceptions are the only liens, encumbrances, easements, restrictions and other matters affecting the Property, and none of them (other than those disclosed in **Exhibit B**) materially and adversely impairs the use, operation or value of the Property or Lender's security. Borrower acknowledges that a decorative iron balcony extends approximately two and one-half (2.5) feet beyond the front façade of the Improvements over the King Street public right-of-way, and Borrower has not obtained any encroachment agreement, license or permit from the City of Charleston with respect thereto. Borrower has not received any notice from the City of Charleston requiring the removal or modification of such balcony.

5.6 Leases; Rent Roll. **Exhibit D** sets forth a true, correct and complete schedule of all Leases affecting the Property as of the date hereof, and the information contained therein concerning the identity of each Tenant, the premises demised, the leasable square footage, the base rent, the escalation provisions, the expiration date, the security deposit held, the renewal options and the assignment, estoppel and SNDA provisions of each Lease is true and correct in all material respects. There are no Leases other than those listed on **Exhibit D**, no Tenant has any option or right of first refusal to purchase all or any portion of the Property, no rent has been prepaid more than one (1) month in advance, and no Tenant is entitled to any concession, free rent, tenant improvement allowance or other inducement that is not disclosed on **Exhibit D**. Borrower acknowledges that the Harmon & Wren Design Studio LLC Lease grants that Tenant a Right of First Refusal with respect to Bay 2 of the Property, as disclosed on **Exhibit D**, and that such Right of First Refusal survives renewal of such Lease.

5.7 Single-Purpose Entity. On and as of the Closing Date, and after giving effect to the Operating Agreement Amendment delivered at Closing, Borrower is and shall be a Single-Purpose Entity that satisfies each of the requirements of Section 6.7, and Borrower's organizational documents contain the provisions described in Section 6.8. Borrower acknowledges that Lender would not make the Loan on the terms set forth in the Loan Documents but for this representation.

5.8 No Subordinate Financing; No Other Liens. Borrower has not incurred, and no Person has any commitment to provide, any indebtedness secured by the Property or any direct or indirect interest in Borrower other than the Loan, and there are no mechanics', materialmen's, judgment, tax or other liens against the Property other than the Permitted Exceptions.

5.9 Environmental; Land Use Restriction. Borrower has received and reviewed the Phase I Environmental Site Assessment prepared by Clearfield Environmental Consulting LLC, Report No. CLR-2025-0119, dated January 28, 2025 (the "**Phase I Report**"). Except as disclosed in the Phase I Report, there are no Hazardous Substances (as defined in the Environmental Indemnity Agreement) located on, under, in or emanating from the Property, and no underground or above-ground storage tanks, asbestos-containing materials, polychlorinated biphenyls, lead-based paint or radon in concentrations exceeding applicable standards are present at the Property. Borrower acknowledges that one (1) Controlled Recognized Environmental Condition exists with respect to Lot 7 arising from off-site contamination originating at the adjacent property located at 518 King Street, that such condition was addressed under the oversight of the South Carolina Department of Health and Environmental Control ("**SCDHEC**") with a "No Further Action" determination dated August 12, 2021 (SCDHEC Site ID SC-29403-0772), and that such condition is subject to the recorded land use restriction described in Article VIII. Borrower has not received any notice of any violation of, or any inquiry concerning, the land use restriction or the SCDHEC institutional controls, and to Borrower's knowledge no condition exists that would constitute a breach thereof.

5.10 Renovation Budget; Construction Contract. The Renovation Budget attached as **Exhibit C** is true, correct and complete and reflects Borrower's good-faith estimate of the total cost of the Renovation Work. The Construction Contract with Beaufort Builders Group LLC (South Carolina General Contractor License No. SC-GC-47921) provides for a contract sum of $2,850,000.00 covering hard costs of construction, and the balance of $300,000.00 for soft costs and contingency is outside the scope of the Construction Contract. A complete and correct copy of the executed Construction Contract, together with all schedules, exhibits, amendments and change orders, has been delivered to Lender. The Construction Contract is in full force and effect, and neither Borrower nor, to Borrower's knowledge, the contractor is in default thereunder.

5.11 Insurance. Borrower has obtained, or will obtain prior to the Closing Date, each policy of insurance required by Article XI, and each such policy is or will be in full force and effect, with premiums paid, and names Lender as mortgagee, loss payee and/or additional insured as required.

5.12 Financial Statements. All financial statements and other financial information delivered to Lender by Borrower or Guarantor are true, correct and complete in all material respects, have been prepared in accordance with GAAP consistently applied (except that unaudited statements are subject to normal year-end adjustments and the absence of footnotes), and fairly present the financial condition of the Persons to which they relate as of the dates and for the periods indicated. Neither Borrower nor Guarantor has any material contingent liability, guaranty or obligation not disclosed therein.

5.13 Litigation. There is no action, suit, proceeding, arbitration, claim or investigation pending or, to Borrower's knowledge, threatened against Borrower or Guarantor that, if adversely determined, could reasonably be expected to have a material adverse effect on Borrower, Guarantor or the Property, and there is no pending or, to Borrower's knowledge, threatened Condemnation or rezoning proceeding affecting the Property.

5.14 Compliance with Laws; Zoning. The Property and its use and operation comply in all material respects with all applicable zoning, building, fire, health, safety, environmental, accessibility and other laws, ordinances, rules and regulations, including the land use restriction described in Article VIII. The Property is located in the GB (General Business) zoning district of the City of Charleston, and the current use of the Property is permitted in such district.

5.15 Flood Zone. The Property is located in FEMA Flood Zone X (an area of minimal flood hazard) and is not located in a special flood hazard area; no federally mandated flood insurance is required with respect to the Property. Borrower acknowledges that Lender nevertheless requires flood insurance in accordance with Section 11.3.

5.16 Not a Foreign Person; OFAC; Patriot Act. Borrower is not a "foreign person" within the meaning of Section 1445 of the Code, and neither Borrower nor any of its members, nor Guarantor, is a person or entity identified on the Specially Designated Nationals and Blocked Persons List maintained by the U.S. Department of the Treasury, Office of Foreign Assets Control, or is otherwise subject to any economic sanctions. Borrower shall comply with all applicable anti-money laundering and know-your-customer requirements.

5.17 ERISA. Borrower is not, and the Property does not constitute, a "plan asset" of any employee benefit plan subject to Title I of the Employee Retirement Income Security Act of 1974, as amended.

5.18 No Default. No event has occurred and is continuing that constitutes, or with the giving of notice or lapse of time or both would constitute, an Event of Default.

5.19 Survival. The representations and warranties in this Article V shall survive the Closing, the recording of this Mortgage and the making of each Advance, and shall be deemed remade as of the date of each Advance except as otherwise expressly provided.

ARTICLE VI

AFFIRMATIVE COVENANTS

Until the Obligations have been paid and performed in full, Borrower shall, at its sole cost and expense:

6.1 Impositions. Pay and discharge, before delinquency and before any interest or penalty attaches, all Impositions and all claims for labor, materials and services that could become a lien on the Property; provided that Borrower may contest in good faith by appropriate proceedings any Imposition or lien, so long as (a) Borrower has deposited with Lender such security as Lender reasonably requires or has provided a bond, (b) such contest suspends collection and prevents the sale or forfeiture of the Property, and (c) Lender's lien and the Property are not otherwise impaired. Borrower shall deliver to Lender receipts or other evidence of payment upon request and, in any event, not later than five (5) Business Days before any Imposition becomes delinquent.

6.2 Maintenance; Repair; Waste. Keep and maintain the Property, including the Improvements, all building systems, fixtures, the decorative iron balcony and the vapor barrier beneath the ground-floor slab of Lot 7, in good order, condition and repair, and in at least as good condition as exists on the Closing Date (ordinary wear and tear excepted), consistent with the standards of comparable mixed-use commercial properties in the Charleston, South Carolina metropolitan area. Borrower shall not commit or permit any waste of the Property, shall promptly repair or restore any damage not constituting a casualty to be addressed under Article XI, and shall not remove or demolish any material portion of the Improvements without Lender's prior written consent.

6.3 Compliance with Laws. Comply, and cause the Property and all Tenants and contractors to comply, with all applicable federal, state and local laws, ordinances, rules, regulations, orders and permits, including all zoning, building, fire, life safety, accessibility, historic preservation, environmental and land use laws, the requirements of the City of Charleston Board of Architectural Review, and the land use restriction described in Article VIII. Borrower shall promptly deliver to Lender copies of all notices of violation or non-compliance received from any governmental authority.

6.4 Leasing Covenant. Use commercially reasonable efforts to lease all vacant space at the Property (currently consisting of Bay 2, comprising approximately 3,800 square feet, and Second Floor Suite B, comprising approximately 9,800 square feet) at market rents and on terms consistent with those prevailing for comparable mixed-use commercial properties in the Charleston, South Carolina metropolitan area, and on terms reasonably acceptable to Lender. Borrower shall (a) comply with the Right of First Refusal held by Harmon & Wren Design Studio LLC with respect to Bay 2 before executing any lease of Bay 2 or entering into any exclusive negotiation with respect thereto, (b) not execute any new Lease or any amendment, extension, renewal or modification of an existing Lease for premises in excess of five thousand (5,000) square feet, or for a term (including all renewal options that Borrower is obligated to grant or that are exercisable at the Tenant's election) exceeding five (5) years, without Lender's prior written consent, which consent shall not be unreasonably withheld, conditioned or delayed, and (c) deliver to Lender a copy of each Lease and each amendment within ten (10) Business Days after execution.

6.5 Financial Covenants. Maintain, at all times during the term of the Loan:

(a) a DSCR of not less than 1.25 to 1.00, tested on a trailing twelve (12) month basis, commencing with the first full calendar quarter ending after the

twenty-fourth (24th) month following the Closing Date (anticipated to be the calendar quarter ending June 30, 2027, with the first test reported as of July 15, 2027) and quarterly thereafter, and certified by Borrower to Lender within thirty (30) days after the end of each calendar quarter;

(b) a net worth of not less than One Million Dollars ($1,000,000.00); and

(c) liquid assets (defined as cash, cash equivalents, marketable securities and unencumbered deposits held at federally insured depository institutions) of not less than Five Hundred Thousand Dollars ($500,000.00).

Compliance with clauses (b) and (c) shall be tested annually based on the financial statements and certifications delivered under Section 6.6. If the DSCR for any calendar quarter is less than 1.25 to 1.00, Borrower shall deliver to Lender, together with its compliance certificate, a written plan detailing the actions Borrower proposes to take to restore compliance, and the failure of the DSCR to equal or exceed 1.25 to 1.00 for two (2) consecutive calendar quarters shall constitute an Event of Default as provided in Article XII.

6.6 Financial Reporting. Deliver to Lender: (a) annual audited financial statements of Borrower, prepared in accordance with GAAP by an independent certified public accountant acceptable to Lender, within one hundred twenty (120) days after the end of Borrower's fiscal year; (b) an annual personal financial statement of Guarantor, in form and detail satisfactory to Lender, within one hundred twenty (120) days after the end of each calendar year; (c) quarterly rent rolls for the Property, certified by Borrower as true, correct and complete, within thirty (30) days after the end of each calendar quarter; (d) annual property operating statements for the Property, including a detailed income and expense report and a comparison to budget, within one hundred twenty (120) days after the end of Borrower's fiscal year; and (e) copies of all Leases and Lease modifications, within ten (10) Business Days after execution as provided in Section 6.4. Each delivery shall be accompanied by a compliance certificate executed by an authorized signatory of Borrower certifying compliance with Section 6.5 and the absence of any Event of Default (or specifying any Event of Default).

6.7 Single-Purpose Entity Covenants. Borrower shall at all times maintain its status as a Single-Purpose Entity and shall, without limiting the generality of the foregoing: (a) engage in no business or activity other than the ownership, operation, renovation, leasing, management and disposition of the Property and activities incidental thereto; (b) maintain its own separate books of account, financial records, stationery, invoices, checks and bank accounts, separate and apart from those of any other Person; (c) not commingle its funds or assets with those of any affiliate, member, manager or other Person; (d) hold itself out to the public as a legal entity separate and distinct from any other Person, including its members and affiliates, and conduct its business in its own name; (e) maintain adequate capitalization in light of its contemplated business operations, transactions and liabilities; (f) pay its own liabilities and expenses from its own assets; (g) not guarantee or become obligated for the debts of any affiliate, other than customary non-recourse carve-out guaranties in favor of Lender; (h) maintain arm's-length relationships with its affiliates and enter into no transaction with an affiliate except on commercially reasonable terms; (i) not incur any additional indebtedness, secured or unsecured, without Lender's prior written consent; (j) observe all customary formalities regarding its existence, including the maintenance of minutes and written consents; and (k) not hold itself out as being liable for the debts of any affiliate or as a division or part of any other Person.

6.8 Organizational Documents; Further Assurances. Prior to or concurrently with the Closing, deliver to Lender an executed Operating Agreement Amendment, executed by all of Borrower's members (Graydon Development Group LLC, Tidewater Opportunity Fund II LP and Harborline Capital Advisors LLC), in form and substance reasonably satisfactory to Lender, which amends Borrower's Amended and Restated Operating Agreement to (a) restrict Borrower's purpose to the ownership, operation, renovation, leasing, financing and disposition of the Property and activities incidental thereto; (b) incorporate the separateness covenants described in Section 6.7; (c) require the affirmative written consent of an independent manager or an independent director (whose consent shall also be required for any amendment of such provisions) before Borrower may file or consent to any bankruptcy, insolvency or reorganization petition, dissolve, liquidate, merge, consolidate or wind up its affairs; and (d) require Lender's prior written consent to any dissolution, merger, consolidation or transfer of all or substantially all of the Property. Borrower shall deliver to Lender, concurrently with the Closing, (i) a certificate of good standing of Borrower issued by the South Carolina Secretary of State, (ii) a certificate of incumbency and resolutions of Borrower's members authorizing the Loan, and (iii) if requested, a certificate of authority of Tidewater GP Holdings LLC, as general partner of Tidewater Opportunity Fund II LP. Borrower shall also deliver to Lender, at the Closing, an ALTA lender's title insurance policy (or a pro forma policy or marked-up commitment) in the amount of $14,750,000.00, together with such endorsements as Lender requires, including, without limitation, zoning, access, survey, comprehensive, contiguity, subdivision, encroachment (ALTA 28.1), and future advance endorsements.

6.9 Inspection. Permit Lender and its agents, representatives, appraisers, engineers, inspectors and environmental consultants to enter upon and inspect the Property at reasonable times and upon reasonable prior notice (and without notice following an Event of Default), and to examine and copy Borrower's books and records relating to the Property.

6.10 Notices. Deliver to Lender, promptly and in any event within five (5) Business Days after Borrower obtains knowledge thereof, written notice of (a) any Event of Default or any event that with notice or lapse of time would constitute an Event of Default; (b) any litigation, arbitration, governmental investigation or administrative proceeding affecting Borrower, Guarantor or the Property that involves a claim in excess of $100,000.00; (c) any notice of violation, citation, stop-work order or other notice from any governmental authority, including SCDHEC and the City of Charleston; (d) any casualty, Condemnation or threat of Condemnation; (e) any default by any Tenant beyond applicable notice and cure periods, any Tenant bankruptcy or insolvency, or any Tenant's vacating of its premises; and (f) any change in Borrower's name, state of organization, organizational identification number, principal place of business or registered agent.

6.11 Books and Records. Maintain complete and accurate books and records in accordance with GAAP at Borrower's principal office in Charleston, South Carolina, and permit Lender to inspect the same in accordance with Section 6.9.

6.12 Estoppel Certificates. Within ten (10) Business Days after Lender's written request (but not more frequently than once in any twelve (12) month period, except in connection with a default, a proposed sale or a proposed refinancing), deliver to Lender an estoppel certificate certifying as to the status of the Loan Documents, the outstanding principal balance, the absence of defaults and such other matters as Lender may reasonably request.

6.13 Renovation. Diligently perform and complete the Renovation Work in accordance with Article IX, within the Renovation Budget and by the Substantial Completion Deadline.

6.14 Reserves. Make all deposits to the reserve and escrow accounts required by Article X when due.

6.15 Management. Maintain the Property under competent management reasonably acceptable to Lender, and deliver to Lender a copy of any management agreement (and any amendment or termination thereof) within ten (10) Business Days after execution. Borrower shall not enter into any management agreement providing for fees in excess of four percent (4%) of gross revenues from the Property without Lender's prior written consent.

6.16 Compliance Certificates. Deliver to Lender, within thirty (30) days after the end of each calendar quarter, a certificate of an authorized signatory of Borrower certifying compliance with Sections 6.5, 6.7 and Article VIII and identifying any matter that would constitute a breach thereof.

ARTICLE VII

NEGATIVE COVENANTS

Until the Obligations have been paid and performed in full, Borrower shall not, without Lender's prior written consent:

7.1 Subordinate and Additional Financing. Incur, create, assume or permit to exist any subordinate lien, mortgage, deed of trust, security interest, encumbrance or other charge upon the Property or any portion thereof, or any indebtedness secured by the Property or by any direct or indirect interest in Borrower, including any mezzanine loan, preferred equity interest, participating interest or other financing arrangement that may affect Lender's collateral position or the priority of Lender's lien. Borrower acknowledges that the Loan is structured as a non-recourse obligation supported by a single-purpose, bankruptcy-remote Borrower, and that any additional financing or encumbrance would materially impair Lender's security.

7.2 Transfer Restrictions. Sell, convey, transfer, assign, pledge, hypothecate, encumber or otherwise dispose of the Property or any portion thereof or any interest therein, or any interest in the rents or Leases, whether voluntarily, involuntarily or by operation of law. No transfer of ownership interests in Borrower exceeding ten percent (10%) individually or twenty-five percent (25%) in the aggregate (whether in one transaction or a series of related transactions, and whether direct or indirect) shall be permitted, except for transfers among the existing members of Borrower (Graydon Development Group LLC, Tidewater Opportunity Fund II LP and Harborline Capital Advisors LLC) in accordance with the terms of Borrower's Operating Agreement, which transfers shall nonetheless require not less than ten (10) Business Days' prior written notice to Lender. Any transfer in violation of this Section 7.2 shall constitute an Event of Default, shall be void at Lender's election, and may result in acceleration of the Indebtedness, imposition of the Default Rate and the exercise of all remedies available under the Loan Documents and applicable law.

7.3 Indirect Transfers; Change of Control. Permit (a) any change in the identity of the managing member of Borrower or in the Person or Persons exercising control over Borrower or over Graydon Development Group LLC; (b) any sale, assignment, transfer, pledge or encumbrance of any direct or indirect interest in Graydon Development Group LLC or of Neil Ashford Graydon's interest therein; (c) any transfer of the membership interest held by Tidewater Opportunity Fund II LP to any successor fund, affiliate or other Person (other than a transfer to an affiliate of Tidewater Opportunity Fund II LP that remains under the common control of Tidewater GP Holdings LLC and that results in no change in the ultimate beneficial ownership of such interest, of which transfer Borrower shall give Lender prior written notice); or (d) any merger, consolidation, conversion, division, domestication or reorganization of Borrower or of any member of Borrower. Borrower shall deliver to Lender, within ten (10) Business Days after Lender's request, a certificate identifying each Person holding a direct or indirect beneficial interest in Borrower and the percentage of such interest. Borrower acknowledges that Borrower's Operating Agreement does not restrict indirect or upstream transfers or changes of control, and agrees that this Section 7.3 operates independently of, and is not limited by, the transfer restrictions in its Operating Agreement.

7.4 Amendment of Organizational Documents. Amend, modify, restate, terminate or waive any provision of Borrower's Articles of Organization or Operating Agreement, including any SPE provision, separateness covenant, independent manager provision, purpose clause or bankruptcy-remote provision, or take any action to cause Borrower to fail to qualify as a Single-Purpose Entity.

7.5 Dissolution; Merger; Bankruptcy. Dissolve, liquidate, wind up, merge, consolidate, convert or divide, or file or consent to the filing of any petition under the United States Bankruptcy Code or any state insolvency proceeding, or make an assignment for the benefit of creditors, or consent to the appointment of a receiver, trustee or custodian, without in each case Lender's prior written consent and, where required by its Operating Agreement as amended by the Operating Agreement Amendment, the prior written consent of Borrower's independent manager.

7.6 Change in Use. Change the use of the Property from mixed-use retail and office, or use, or permit the use of, the ground floor of Lot 7 (Bay 1, 520 King Street) for residential purposes or for any use prohibited by the land use restriction described in Article VIII.

7.7 Removal of Fixtures. Remove, demolish or alter any material fixture, building system or item of personal property affixed to or used in the operation of the Property, except in the ordinary course of maintenance and repair and only if replaced with an item of equal or greater value and utility that is free of liens and subject to Lender's lien.

7.8 Liens; Partition. Create or permit any lien on the Property other than the Permitted Exceptions (except for liens for Impositions not yet delinquent and mechanics' liens arising in the ordinary course of the Renovation Work that are bonded over or discharged within thirty (30) days), or institute or permit any partition of the Property or any interest therein.

7.9 Release or Modification of Leases. Terminate, accept a surrender of, or consent to the assignment of, any Lease for premises in excess of five thousand (5,000) square feet; release any Tenant or guarantor of a Lease; reduce rent; or grant any material concession, free rent, tenant improvement allowance or leasing commission outside the Renovation Budget or the Tenant Improvement and Leasing Commission Reserve, without Lender's prior written consent, which consent shall not be unreasonably withheld, conditioned or delayed.

7.10 Affiliate Transactions; Commingling. Enter into any transaction with any affiliate of Borrower except on arm's-length terms disclosed to Lender, make any distribution to its members that would cause a breach of Section 6.5, or commingle its funds with those of any affiliate.

7.11 Assumption of Debt; Guaranties. Assume, guarantee or become surety for the obligations of any Person, other than endorsements for collection in the ordinary course and the Guaranty Agreement and Environmental Indemnity Agreement.

ARTICLE VIII

ENVIRONMENTAL MATTERS AND THE SCDHEC LAND USE RESTRICTION

8.1 Environmental Compliance. Borrower shall comply, and cause the Property and all Tenants, contractors and agents to comply, with all applicable environmental laws, and shall not cause or permit any Hazardous Substances to be brought upon, stored, used, generated, released or disposed of at, on, under or from the Property, except customary cleaning supplies and de minimis quantities of materials used in the ordinary course of the operation of the Property in compliance with applicable law. Borrower shall promptly notify Lender of any release, threatened release, notice of violation or inquiry from any governmental authority, and shall deliver to Lender copies of all correspondence with SCDHEC relating to the Property or to SCDHEC Site ID SC-29403-0772.

8.2 The Land Use Restriction. Borrower acknowledges that the Property is subject to that certain land use restriction and institutional control recorded in Deed Book 1203 at Page 89, RMC Office (the "**Land Use Restriction**"), imposed by SCDHEC in connection with its "No Further Action" determination dated August 12, 2021, for SCDHEC Site ID SC-29403-0772, relating to contamination originating at the adjacent property located at 518 King Street. The Land Use Restriction runs with the land, is binding on Borrower and all Tenants, successors and assigns, and, as it applies to the Property, (a) prohibits the use of the ground floor of Lot 7 (Tax Map No. 460-12-04-007, comprising Bay 1 at 520 King Street, approximately 3,800 square feet) for residential purposes, and (b) requires the owner of the Property to maintain, in good condition and working order, the vapor barrier system installed beneath the concrete floor slab of the ground-floor commercial space on Lot 7, and to permit periodic inspection thereof. Borrower shall at all times comply with, and shall not violate, modify, terminate, release or seek the amendment of, the Land Use Restriction without Lender's prior written consent.

8.3 Vapor Barrier. Borrower shall (a) maintain the vapor barrier beneath the ground-floor slab of Lot 7 in good condition and working order; (b) not penetrate, remove, compromise, cover or alter such vapor barrier without the prior written approval of SCDHEC and prior written notice to Lender; (c) cause any renovation, construction, demolition or alteration activity affecting the slab of Bay 1 to include inspection and, if necessary, repair or replacement of the vapor barrier, with prior written notification to SCDHEC; (d) inform the general contractor and all subcontractors in writing of the existence and location of the vapor barrier and of the requirements of the Land Use Restriction before any work is performed in or adjacent to Bay 1; and (e) deliver to Lender, within thirty (30) days after Lender's request (and in any event within thirty (30) days after completion of any work affecting the Bay 1 slab), a certification from a licensed environmental professional or registered engineer confirming the continued integrity of the vapor barrier.

8.4 Prohibition on Residential Use. Borrower shall not use, and shall not permit any Tenant or other Person to use, the ground floor of Lot 7 for residential purposes, and shall not grant any Lease, license or other right of occupancy of the ground floor of Lot 7 that permits residential use. Borrower shall include in each Lease of the ground floor of Lot 7 an express covenant by the Tenant to comply with the Land Use Restriction and prohibiting residential use.

8.5 SCDHEC Coordination; Renovation Work. Before performing any Renovation Work that may affect the floor slab of Bay 1 on Lot 7, and before performing any work that requires notification to or approval from SCDHEC under the Land Use Restriction, Borrower shall (a) notify SCDHEC in writing and obtain any required approval, (b) notify Lender in writing at least fifteen (15) days in advance, and (c) deliver to Lender copies of all correspondence, approvals and inspection reports relating thereto. Borrower shall cause the Renovation Work (including, without limitation, the HVAC replacement, elevator modernization and façade restoration) to be designed, sequenced and performed so as not to compromise the vapor barrier beneath the Bay 1 slab.

8.6 No Modification or Termination. Borrower shall not, without Lender's prior written consent, (a) request, consent to or accept any modification, amendment, termination or release of the Land Use Restriction or of any institutional control, (b) take any action that would cause SCDHEC to reopen SCDHEC Site ID SC-29403-0772 or revoke or modify its "No Further Action" determination, or (c) fail to maintain any institutional control required by SCDHEC.

8.7 Reporting and Certification. Borrower shall deliver to Lender (a) within thirty (30) days after the end of each calendar year, an officer's certificate certifying compliance with this Article VIII for the preceding year, (b) promptly upon receipt, copies of all inspection reports relating to the vapor barrier and all correspondence with SCDHEC, and (c) promptly upon Lender's request, such other information relating to the environmental condition of the Property as Lender may reasonably require.

8.8 Environmental Default. Any failure by Borrower to comply with the Land Use Restriction, the institutional controls described in this Article VIII, or any other provision of this Article VIII, and any modification, termination or release of the Land Use Restriction without Lender's prior written consent, shall constitute an immediate Event of Default without notice or opportunity to cure, and shall constitute a "carve-out event" giving rise to recourse liability under Section 14.15 to the extent provided therein and under the Guaranty Agreement. Borrower acknowledges that Lender has relied on the existence and continued effectiveness of the SCDHEC institutional controls in making the Loan.

8.9 Environmental Indemnity. The obligations of Borrower under this Article VIII are in addition to, and not in limitation of, the Environmental Indemnity Agreement, which shall be enforceable in accordance with its terms and shall survive repayment of the Loan, foreclosure, delivery of a deed in lieu of foreclosure, and the release or satisfaction of this Mortgage.

ARTICLE IX

RENOVATION HOLDBACK AND DISBURSEMENT

9.1 The Renovation Holdback. Lender shall hold the Renovation Holdback ($2,250,000.00), being the portion of the Loan not advanced at Closing, and shall advance it to Borrower in accordance with this Article IX for application to the cost of the Renovation Work. The Renovation Holdback is not a fund held in trust for Borrower, and Borrower shall have no right to any portion of it except as an Advance made in accordance with this Article IX. Amounts advanced on account of the Renovation Holdback shall bear interest from the date of advance under the Note.

9.2 Renovation Budget; Change Orders. The Renovation Work shall be performed in accordance with the Renovation Budget attached as **Exhibit C**, which reflects (a) a total renovation budget of $3,150,000.00, (b) a Renovation Holdback allocation of $2,250,000.00, and (c) a Borrower equity allocation of $900,000.00. Advances shall be made by budget line item, and no Advance shall be made with respect to any line item in excess of the amount allocated to such line item in **Exhibit C**. Borrower may not reallocate amounts among budget line items without Lender's prior written consent. Borrower shall not enter into any change order or amendment to the Construction Contract that (i) would cause the Renovation Budget or any line item therein to be exceeded, or (ii) increases the hard costs of the Renovation Work by more than $100,000.00 individually or $250,000.00 in the aggregate, without Lender's prior written consent. Borrower shall deliver to Lender a copy of each change order within five (5) Business Days after execution.

9.3 Draw Requests. Draws from the Renovation Holdback shall be made no more frequently than once per calendar month. Borrower shall submit each draw request to Lender not less than ten (10) Business Days before the requested funding date, in the form attached as **Exhibit E** and consisting of:

(a) an AIA G702/G703 Application and Certificate for Payment, certified by Borrower's architect of record, detailing the work completed, the amounts previously paid, and the amount currently requested;

(b) lien waivers from the general contractor and from each subcontractor performing work in an amount exceeding $25,000.00, consisting of conditional lien waivers for the current draw and unconditional lien waivers for all prior draws;

(c) a title date-down endorsement from the title insurer confirming that no intervening mechanic's, materialmen's or other liens or encumbrances have been filed against the Property since the date of the most recent title endorsement;

(d) evidence of Lender's satisfactory inspection of the work in progress, which inspection may be conducted by a third-party inspector retained by Lender at Borrower's expense;

(e) invoices, bills of sale, paid receipts and other supporting documentation reasonably requested by Lender; and

(f) a certification by Borrower that the representations and warranties in Article V remain true and correct, that no Event of Default has occurred and is continuing, and that the Renovation Work is proceeding in accordance with the approved plans and specifications and the Renovation Budget.

9.4 Conditions to Each Advance. Lender's obligation to make any Advance of the Renovation Holdback is subject to the satisfaction of each of the following conditions: (a) no Event of Default has occurred and is continuing, and no event has occurred that with notice or lapse of time would constitute an Event of Default; (b) the representations and warranties in Article V are true and correct in all material respects; (c) Borrower has delivered a complete draw request in accordance with Section 9.3; (d) the requested amount does not exceed the available allocation for the applicable budget line item or the remaining Renovation Holdback; (e) Borrower has funded, or concurrently funds, its proportionate share of the equity allocable to the work covered by the draw request in accordance with **Exhibit C**, and has delivered evidence thereof; (f) all work covered by prior draws has been completed and paid for and all unconditional lien waivers for such work have been delivered; (g) no mechanic's or materialmen's lien has been filed against the Property that has not been bonded over or discharged of record; (h) the Renovation Work is on schedule to achieve Substantial Completion by the Substantial Completion Deadline; and (i) Borrower has paid all costs, fees and expenses of Lender's inspector and title insurer incurred in connection with the draw.

9.5 Retainage. Lender shall retain ten percent (10%) of each disbursement from the Renovation Holdback (the "**Retainage**") until Substantial Completion of the Renovation Work has been achieved in accordance with Section 9.9.

9.6 Release of Retainage. Lender shall release the Retainage upon Lender's receipt of (a) satisfactory evidence of Substantial Completion, including the architect's certification and the certificate of occupancy, (b) final unconditional lien waivers from the general contractor and all subcontractors and suppliers, (c) a final title date-down endorsement confirming no intervening liens, (d) a certification that the Renovation Work has been completed within the Renovation Budget and that all costs of the Renovation Work have been paid in full, and (e) evidence of the continued effectiveness of all insurance required by Article XI, including the transition from builder's risk coverage to permanent property coverage.

9.7 Cost Overruns; Borrower Equity. Borrower shall be responsible for all costs of the Renovation Work in excess of the Renovation Holdback, including the $600,000.00 by which the $2,850,000.00 contract sum under the Construction Contract exceeds the Renovation Holdback and the $300,000.00 of soft costs and contingency outside the Construction Contract. Borrower shall fund such amounts from its own funds as and when required by the progress of the Renovation Work, and shall, within ten (10) days after Lender's written demand, deposit with Lender any amount necessary to cure any deficiency in the Renovation Budget or to complete the Renovation Work.

9.8 Inspections; Fees. Lender and its inspecting architect or engineer may inspect the Renovation Work at reasonable times and from time to time. Borrower shall pay all reasonable costs of such inspections, including any reinspection fee imposed as a result of work not conforming to the approved plans and specifications or not being ready for inspection.

9.9 Substantial Completion. Borrower shall achieve Substantial Completion of the Renovation Work on or before the Substantial Completion Deadline of June 15, 2026. If Substantial Completion has not been achieved by such date, such failure shall constitute an Event of Default under Section 12.1(i) without any notice or cure period, and Lender shall have no obligation to make any further Advances of the Renovation Holdback. Borrower shall deliver to Lender, within ten (10) Business Days after Substantial Completion, an architect's certificate of substantial completion, the certificate of occupancy, as-built drawings and a final cost statement for the Renovation Work.

9.10 No Commitment Beyond Holdback; Effect of Default. Lender shall have no obligation to disburse any portion of the Renovation Holdback if an Event of Default has occurred and is continuing, and Lender may suspend disbursements upon the occurrence of any event that, with notice or lapse of time, would constitute an Event of Default. Any undisbursed portion of the Renovation Holdback shall not be deemed loaned or committed to Borrower, shall not reduce the Indebtedness, and shall not relieve Borrower of any obligation under this Mortgage. Upon the occurrence and during the continuance of an Event of Default, Lender may, at its option, apply any undisbursed portion of the Renovation Holdback to the Indebtedness or to the completion of the Renovation Work, in either case without liability to Borrower.

9.11 Completion Guaranty. Concurrently with the execution of this Mortgage, Borrower shall cause Guarantor to execute and deliver the Completion Guaranty, unconditionally guaranteeing the completion of the Renovation Work within the Renovation Budget and by the Substantial Completion Deadline. The Completion Guaranty shall be a Loan Document, and any default thereunder shall constitute an Event of Default under this Mortgage. Borrower acknowledges that the completion obligation is a separate obligation of Borrower and Guarantor and that Lender's disbursement of the Renovation Holdback is not a waiver of either obligation.

9.12 Construction Contract Assignment and Consent. Borrower shall deliver to Lender, at or prior to Closing, (a) a collateral assignment of the Construction Contract in favor of Lender, and (b) the written consent of Beaufort Builders Group LLC to such collateral assignment (or evidence satisfactory to Lender that no such consent is required). Borrower shall cause the Construction Contract to name Lender as an additional insured and loss payee as its interests appear, and shall not amend, terminate or replace the Construction Contract, or engage any replacement general contractor, without Lender's prior written consent.

ARTICLE X

RESERVE AND ESCROW ACCOUNTS

10.1 Tax and Insurance Escrow. Borrower shall deposit with Lender, on the Closing Date and on the first day of each calendar month thereafter, an amount equal to one-twelfth (1/12) of the estimated annual real property taxes and casualty and liability insurance premiums for the Property, covering all three (3) tax parcels (Tax Map Nos. 460-12-04-007, 460-12-04-008 and 460-12-04-009). Such deposits shall be held by Lender in escrow and applied by Lender toward the payment of real property taxes and insurance premiums as they become due. Lender may adjust the monthly escrow amount periodically based on actual or anticipated tax assessments and insurance premiums, and Borrower shall fund any deficiency within ten (10) days after written demand. If at any time the amount on deposit is insufficient to pay any Imposition or insurance premium when due, Lender may advance the deficiency, and such advance shall bear interest at the Default Rate from the date made until repaid and shall be secured hereby.

10.2 Capital Replacement Reserve. Borrower shall deposit with Lender, on the first day of each calendar month, the sum of Six Hundred Forty-Five Dollars and Eighty-Three Cents ($645.83), being the product of $0.25 per square foot per year multiplied by 31,000 square feet of gross building area ($7,750.00 per year) divided by twelve (12) months. Funds in the capital replacement reserve shall be disbursed to Borrower upon Lender's approval of qualifying capital expenditures, subject to Lender's reasonable review and approval procedures. Lender may adjust the monthly deposit amount upon any increase in the gross building area of the Property or as Lender reasonably determines upon its periodic property condition review.

10.3 Tenant Improvement and Leasing Commission Reserve. Borrower shall deposit with Lender at Closing the sum of One Hundred Fifty Thousand Dollars ($150,000.00) into a tenant improvement and leasing commission reserve account held by Lender. Disbursements from the reserve shall be subject to Lender's prior written approval and shall be used exclusively for tenant improvement costs and leasing commissions incurred in connection with the leasing of vacant space at the Property, and shall not be used for any cost included in the Renovation Budget except to the extent Lender approves in writing an allocation between the two sources of funds. Upon any draw-down from the reserve, Borrower shall replenish the reserve to the full amount of $150,000.00 from Borrower's own funds within thirty (30) days after Lender's written demand.

10.4 General Provisions. Each reserve and escrow account shall be (a) pledged to Lender as additional collateral for the Obligations, (b) held in an interest-bearing account (or, at Lender's option, a non-interest-bearing account) as Lender determines, with any interest accruing to the benefit of such account or Borrower as Lender determines, (c) applied by Lender in its reasonable discretion in accordance with this Article X, and (d) not subject to withdrawal by Borrower except as expressly provided herein. Borrower hereby grants to Lender a security interest in each such account and all sums held therein, and authorizes Lender to file UCC financing statements and to exercise control over such accounts, including by executing a deposit account control agreement in customary form. Lender shall have no obligation to invest, or to obtain any particular yield on, any funds held in such accounts, and shall not be liable for any loss absent its gross negligence or willful misconduct. Upon the occurrence and during the continuance of an Event of Default, Lender may apply any funds held in any reserve or escrow account to the Obligations in such order as Lender determines.

ARTICLE XI

INSURANCE, CASUALTY AND CONDEMNATION

11.1 Property Insurance. Borrower shall maintain at all times, with insurers acceptable to Lender, comprehensive all-risk ("special form") property insurance covering the Property and all Improvements and betterments on a replacement cost basis, with an agreed amount endorsement (waiver of coinsurance), in an amount not less than the full replacement cost of the Improvements and not less than the outstanding Indebtedness. Coverage shall include, without limitation, fire, windstorm, hail, explosion, vandalism, malicious mischief, water damage, sprinkler leakage, ordinance or law coverage, equipment breakdown and such other perils as Lender may reasonably require, and shall name Lender as mortgagee and loss payee pursuant to a standard mortgagee clause.

11.2 Commercial General Liability. Borrower shall maintain commercial general liability insurance with minimum limits of Two Million Dollars ($2,000,000.00) per occurrence and Five Million Dollars ($5,000,000.00) in the aggregate, including premises liability, operations liability, products and completed operations, and personal and advertising injury coverage. Lender shall be named as an additional insured on such policy on a primary and non-contributory basis.

11.3 Flood Insurance. Borrower shall maintain flood insurance on the Property in an amount not less than Five Million Dollars ($5,000,000.00), with Lender named as mortgagee and loss payee. Borrower acknowledges that the Property is located in FEMA Flood Zone X, that flood insurance may not be required by federal regulation for property in Zone X, and that Lender nevertheless requires such coverage as a condition of the Loan, and agrees that such requirement is reasonable and is not subject to challenge by Borrower.

11.4 Builder's Risk. During the period from the Closing Date through Substantial Completion of the Renovation Work, Borrower shall maintain builder's risk insurance on a completed value basis in an amount not less than the full Renovation Budget of Three Million One Hundred Fifty Thousand Dollars ($3,150,000.00), covering the Property and the Renovation Work against all risks of physical loss or damage during the course of construction, including coverage for materials stored off-site, soft costs, and the increased cost of construction due to applicable building code changes. Lender shall be named as mortgagee and loss payee on such policy.

11.5 Other Insurance. Borrower shall maintain (a) workers' compensation insurance in the amounts required by the laws of the State of South Carolina, covering all employees of Borrower and, to the extent not covered under the general contractor's policies, all persons engaged in the Renovation Work; (b) umbrella or excess liability insurance in an amount not less than Five Million Dollars ($5,000,000.00), providing excess coverage over the commercial general liability, automobile liability and employers' liability policies; and (c) such other insurance coverages as Lender may reasonably require from time to time, in such amounts and with such carriers as are acceptable to Lender.

11.6 Policy Requirements. All insurance policies required by this Article XI shall (a) be issued by insurers licensed to do business in the State of South Carolina having an A.M. Best rating of not less than A-:VII, (b) contain a provision requiring not less than thirty (30) days' prior written notice to Lender of cancellation, non-renewal or material modification (and ten (10) days' notice for non-payment of premium), (c) contain a waiver of subrogation in favor of Lender to the extent permitted by law, (d) be written with deductibles and self-insured retentions reasonably acceptable to Lender, and (e) be primary with respect to any insurance maintained by Lender.

11.7 Evidence; Renewal. Borrower shall deliver to Lender, prior to the Closing Date and thereafter not less than ten (10) days before the expiration of each policy, certificates of insurance, or certified copies of policies where required by Lender, naming Lender as mortgagee, loss payee and/or additional insured as applicable, together with evidence of payment of premiums. Borrower shall not cancel, reduce or materially modify any required coverage without Lender's prior written consent.

11.8 Casualty. Borrower shall promptly notify Lender of any damage to the Property. Lender, in its reasonable discretion, may elect either (a) to apply the insurance proceeds to the Indebtedness in accordance with Section 13.8, or (b) to permit Borrower to restore the Improvements, provided that (i) no Event of Default has occurred and is continuing, (ii) in Lender's reasonable judgment the restoration is economically feasible and can be completed within the earlier of twelve (12) months or the Substantial Completion Deadline, (iii) the proceeds, together with any additional funds deposited by Borrower, are sufficient to complete the restoration, (iv) Borrower demonstrates to Lender's reasonable satisfaction that the Property will generate sufficient income upon restoration to satisfy the covenants in Section 6.5, and (v) the conditions to disbursement set forth in Section 9.4, applied to the restoration disbursements as though the restoration work were Renovation Work are satisfied as to the restoration. Any proceeds applied to the Indebtedness under this Section shall be applied at par, without prepayment premium, in accordance with Section 4.8. Borrower shall pay all costs of restoration in excess of available proceeds.

11.9 Condemnation. Borrower shall promptly notify Lender of any actual or threatened Condemnation. Lender may participate in any proceeding and Borrower shall not settle or compromise any Condemnation claim without Lender's prior written consent. Any award or payment shall be paid to Lender and applied in accordance with Sections 4.8 and 13.8, or, at Lender's election, released to Borrower for restoration of the remainder of the Property on the conditions set forth in Section 11.8. Borrower irrevocably assigns to Lender all of its right, title and interest in and to any such award, and appoints Lender as its attorney-in-fact to collect and receipt for the same.

11.10 Failure to Insure. If Borrower fails to maintain any insurance required by this Article XI, Lender may (but shall not be obligated to) obtain such insurance and pay the premium therefor, and any amount so paid shall be an additional advance secured by this Mortgage, shall bear interest at the Default Rate, and shall be repayable on demand. Such failure shall constitute an Event of Default.

ARTICLE XII

EVENTS OF DEFAULT

12.1 Events of Default. Each of the following shall constitute an Event of Default under this Mortgage:

(a) Borrower's failure to pay any installment of principal, interest or any other amount due under the Loan Documents on or before the date on which it is due, subject to the cure period in Section 12.2(a);

(b) Borrower's breach of any covenant, agreement or obligation contained in the Loan Documents, continuing beyond the applicable cure period in Section 12.2;

(c) any representation or warranty made by Borrower or Guarantor in connection with the Loan or in any Loan Document proving to be materially false, misleading or inaccurate in any material respect when made or deemed made;

(d) the filing of a petition in bankruptcy by or against Borrower or Guarantor, the appointment of a receiver, trustee or custodian for any substantial part of the property or assets of Borrower or Guarantor, any assignment for the benefit of creditors by Borrower or Guarantor, or the commencement of any similar insolvency proceeding;

(e) a default by Borrower or Guarantor under any other indebtedness for borrowed money in an amount exceeding Two Hundred Fifty Thousand Dollars ($250,000.00), individually or in the aggregate, which default is not cured within any applicable cure or grace period;

(f) Borrower's failure to maintain any insurance required under Article XI;

(g) any violation of the transfer restrictions set forth in Sections 7.2 or 7.3;

(h) any breach of the Single-Purpose Entity covenants set forth in Section 6.7, or any failure to maintain the organizational provisions required by Section 6.8;

(i) failure by Borrower to achieve Substantial Completion of the Renovation Work by the Substantial Completion Deadline of June 15, 2026;

(j) the DSCR falling below 1.25 to 1.00 for two (2) consecutive calendar quarters following the commencement of DSCR testing under Section 6.5(a);

(k) any failure to comply with, or any modification, termination, release or violation of, the Land Use Restriction or the institutional controls described in Article VIII;

(l) any failure by Borrower to fund its equity contributions to the Renovation Work as required by Section 9.7, or any failure by Borrower to fund any reserve or escrow deposit required by Article X within ten (10) days after the date due;

(m) any default by Borrower or Guarantor under the Guaranty Agreement, the Completion Guaranty, the Environmental Indemnity Agreement or any other Loan Document;

(n) a material adverse change in the financial condition, business, assets or operations of Borrower or Guarantor that, in Lender's reasonable judgment, materially impairs the ability of Borrower or Guarantor to perform its obligations under the Loan Documents;

(o) the attachment, sequestration, levy or execution against the Property or any material portion thereof that is not released of record within thirty (30) days; or

(p) the occurrence of any other event or condition that constitutes an Event of Default as defined in any other Loan Document.

12.2 Cure Periods. The following cure periods shall apply to the Events of Default described in Section 12.1:

(a) **Payment Defaults.** Five (5) Business Days from the date on which payment was due. The assessment of a late charge under Section 4.10 shall not extend this cure period.

(b) **Non-Monetary Defaults** (other than the defaults described in Section 12.3). Thirty (30) calendar days after written notice from Lender to Borrower of such default; provided, however, that if the default is of a

nature that it cannot reasonably be cured within thirty (30) calendar days and Borrower has commenced and is diligently pursuing the cure thereof, the cure period shall be extended for an additional period not to exceed sixty (60) calendar days (for a total cure period not to exceed ninety (90) calendar days).

12.3 Defaults Without Cure. Any breach of the Single-Purpose Entity covenants set forth in Section 6.7, the transfer restrictions set forth in Sections 7.2 or 7.3, or the provisions of Article VIII, shall constitute an immediate Event of Default without notice or opportunity to cure. Any Event of Default described in Section 12.1(f) (failure to maintain insurance) or Section 12.1(i) (failure to achieve Substantial Completion by the Substantial Completion Deadline) shall likewise not be subject to a cure period. An Event of Default described in Section 12.1(c) (breach of representation or warranty) shall be subject to the cure period in Section 12.2(b), and an Event of Default described in Section 12.1(e) (cross-default) shall be subject to any cure or grace period applicable under the instrument giving rise to such default.

12.4 Notice. Lender shall not be required to give notice of any Event of Default except where this Mortgage expressly so provides, and any notice given as a condition to acceleration or the exercise of any remedy shall be deemed given in accordance with Section 14.4.

12.5 Remedies Cumulative. No right or remedy of Lender is exclusive of any other right or remedy, and no delay or omission by Lender in exercising any right or remedy shall impair it or constitute a waiver thereof. The exercise of any one right or remedy shall not preclude the exercise of any other, and Lender may exercise its rights and remedies concurrently, cumulatively and in any order.

ARTICLE XIII

REMEDIES

13.1 Remedies Upon Default. Upon the occurrence and during the continuance of an Event of Default, Lender may, at its option and in addition to all other rights and remedies available at law or in equity: (a) declare the entire Indebtedness immediately due and payable, whereupon it shall become immediately due and payable without further notice, presentment, demand, protest or notice of any kind, all of which Borrower waives; (b) apply the Default Rate; (c) enforce the absolute assignment of rents in Article III; (d) foreclose this Mortgage in accordance with Section 13.2; (e) seek the appointment of a receiver in accordance with Section 13.3; (f) exercise its rights and remedies as a secured party under the UCC in accordance with Section 13.5; (g) take possession of the Property and collect the rents and profits thereof; (h) cure the default on Borrower's behalf in accordance with Section 13.9; (i) suspend disbursement of the Renovation Holdback; and (j) exercise any other right or remedy available under the Loan Documents or applicable law.

13.2 Judicial Foreclosure. Lender may foreclose this Mortgage by an action in the Court of Common Pleas for Charleston County, South Carolina (or in any other court of competent jurisdiction), in accordance with the laws of the State of South Carolina. Borrower acknowledges that South Carolina is a judicial foreclosure state, that this Mortgage does not and shall not confer any power of sale, and that Lender's only remedy by way of foreclosure of the lien of this Mortgage is by judicial action. Lender may, in any such action, seek a judgment for the Indebtedness, a decree of foreclosure and sale of the Property, the appointment of a receiver, and, to the extent permitted by law, a deficiency judgment against Borrower as provided in Section 13.7. Lender may bid at any foreclosure sale.

13.3 Receivership. Upon the occurrence and during the continuance of an Event of Default, Lender shall be entitled, as a matter of right and without notice (to the extent permitted by law) and without regard to the adequacy of its security or the solvency of Borrower, to the appointment of a receiver of the Property and of the rents, issues and profits thereof, in any judicial proceeding to enforce this Mortgage or in any separate proceeding. Borrower irrevocably consents to such appointment and waives any objection thereto. The receiver shall have all powers customarily granted to receivers of commercial real property, including the power to lease, manage, operate, repair and maintain the Property, to collect rents and to make disbursements. Any receiver appointed shall be Lender's nominee unless the court otherwise orders, and the receiver's fees and expenses shall be borne by Borrower.

13.4 Enforcement of Assignment of Rents. Without limiting Article III, upon an Event of Default Lender may, without any court order, appointment of a receiver or further consent of Borrower, notify Tenants to pay rents directly to Lender, collect and apply such rents, and exercise all rights of Borrower as landlord under the Leases, subject to the Assignment of Rents Act. Lender may also, in its discretion, seek the appointment of a receiver under Section 13.3 in lieu of or in addition to direct collection.

13.5 Security Agreement Remedies. Lender may exercise all rights and remedies of a secured party under the UCC, including the right to take possession of the personal property and fixtures collateral, to require Borrower to assemble the collateral and make it available to Lender at a convenient place, and to sell, lease or otherwise dispose of the collateral at public or private sale upon such notice as is required by the UCC. Borrower agrees that ten (10) days' written notice of any public or private sale constitutes reasonable notification. Any sale may be conducted as a unit or in parcels, and Lender may be the purchaser at any sale.

13.6 Possession; Entry. Lender may enter upon and take possession of the Property in any lawful manner, exclude Borrower and its agents, and use, operate, manage and lease the Property. Borrower shall, upon demand, deliver possession of the Property and all books, records, keys and security deposits relating thereto.

13.7 Deficiency. In the event the proceeds of any foreclosure sale or other disposition of the Property are insufficient to pay the Indebtedness in full, Borrower shall be liable for the deficiency, to the extent provided in Section 14.15 and applicable law, and Lender may seek a deficiency judgment in accordance with South Carolina law.

13.8 Application of Proceeds. The proceeds of any foreclosure sale, UCC sale or other realization on the Property, and any insurance proceeds or Condemnation awards applied to the Indebtedness, shall be applied in the order set forth in Section 4.9, and any surplus shall be paid to Borrower or to such other Person as may be entitled thereto by law.

13.9 Lender's Right to Cure. If Borrower fails to perform any covenant or obligation under this Mortgage, Lender may (but shall not be obligated to) perform it on Borrower's behalf, including by paying Impositions, insurance premiums, mechanics' liens, repair costs, or costs of completing the Renovation Work. Any amount so expended shall be an additional advance secured by this Mortgage, shall bear interest at the Default Rate from the date of expenditure, and shall be repayable on demand. Lender shall give Borrower notice of any such expenditure promptly after making it, but the giving of notice shall not be a condition to the effectiveness of the advance.

13.10 Expenses as Additional Indebtedness. All costs and expenses incurred by Lender in connection with the enforcement of the Loan Documents, including reasonable attorneys' fees, court costs, expert and consultant fees, title charges, and the costs of any inspection, appraisal or environmental assessment obtained following an Event of Default, shall be additional Indebtedness secured by this Mortgage and repayable on demand.

13.11 No Waiver; No Release. No forbearance by Lender, no acceptance of a partial payment, and no extension of time shall constitute a waiver of any Event of Default or of any right or remedy, or a release of Borrower or Guarantor, unless expressly set forth in a writing signed by Lender. No acceptance of any payment after the occurrence of an Event of Default shall cure such Event of Default or reinstate the Loan unless Lender so agrees in writing.

13.12 Absolute Obligations. Borrower's obligations under this Mortgage are absolute and unconditional and are not subject to any defense, setoff, counterclaim or recoupment arising out of any claim Borrower may have against Lender, any Tenant, any contractor or any other Person, all of which Borrower waives to the fullest extent permitted by law. Borrower's obligation to pay and perform is independent of the performance of any obligation of any other Person, including any Tenant or Guarantor.

ARTICLE XIV

MISCELLANEOUS

14.1 Governing Law. This Mortgage shall be governed by and construed in accordance with the laws of the State of South Carolina, without regard to principles of conflicts of law that would require the application of the laws of another jurisdiction.

14.2 Jurisdiction and Venue. Borrower irrevocably submits to the jurisdiction of the courts of the State of South Carolina and of the United States District Court for the District of South Carolina for purposes of any action arising out of or relating to this Mortgage, agrees that venue in Charleston County, South Carolina, is proper, and waives any objection based on forum non conveniens. Nothing in this Section shall limit Lender's right to bring an action in any other court of competent jurisdiction to enforce this Mortgage or to realize on its collateral, including in any bankruptcy or insolvency proceeding.

14.3 Waiver of Jury Trial. TO THE FULLEST EXTENT PERMITTED BY APPLICABLE LAW, BORROWER AND LENDER EACH KNOWINGLY, VOLUNTARILY AND INTENTIONALLY WAIVE ANY RIGHT TO A TRIAL BY JURY IN ANY ACTION ARISING OUT OF OR RELATING TO THIS MORTGAGE, THE NOTE, THE OTHER LOAN DOCUMENTS OR THE LOAN. THIS WAIVER IS A MATERIAL INDUCEMENT TO LENDER'S MAKING OF THE LOAN.

14.4 Notices. All notices, demands, consents and other communications shall be in writing and shall be deemed given (a) when delivered personally, (b) one (1) Business Day after deposit with a nationally recognized overnight courier, (c) three (3) Business Days after deposit in the United States mail, certified or registered, return receipt requested, postage prepaid, or (d) when sent by electronic mail, provided that a copy is also delivered by one of the foregoing methods, in each case addressed as follows (or to such other address as a party designates by notice):

If to Lender: Calverley Heritage Bank, 412 Whitaker Street, Savannah, Georgia 31401, Attention: Marcus Prideaux, Senior Vice President — Commercial Real Estate Lending, Email: mprideaux@coastalheritagebank.com; with a copy to Fielding, Ashworth & Cole LLP, Charleston, South Carolina, Attention: Catherine Ashworth, Partner.

If to Borrower: Palmetto Gateway Partners LLC, 88 Broad Street, Suite 200, Charleston, South Carolina 29401, Attention: Neil Ashford Graydon, Managing Member; with a copy to Cartwright & Lyons LLP, Charleston, South Carolina.

If to Guarantor: Neil Ashford Graydon, 14 Church Street, Charleston, South Carolina 29401.

14.5 No Oral Modification. This Mortgage may not be amended, modified, supplemented or waived except by a written instrument signed by Borrower and Lender (and, where its rights are affected, Guarantor), and no waiver shall extend to any subsequent or other default.

14.6 Severability. If any provision of this Mortgage is held to be invalid, illegal or unenforceable, such provision shall be enforced to the maximum extent permitted by law and the remaining provisions shall remain in full force and effect.

14.7 Entire Agreement; Relationship to Other Loan Documents. The Loan Documents constitute the entire agreement between Borrower and Lender with respect to the Loan and supersede all prior agreements and understandings, including the Term Sheet dated April 1, 2025. In the event of any conflict between this Mortgage and the Note, the Note shall control as to the payment terms, and this Mortgage shall control as to the collateral, remedies and covenants. In the event of any conflict between this Mortgage and any other Loan Document, the Loan Document imposing the higher standard on Borrower or the greater protection to Lender shall control, except that the Note shall control as to the interest rate, payment terms and prepayment provisions.

14.8 Successors and Assigns. This Mortgage shall inure to the benefit of Lender, its successors and assigns (including any assignee or participant of the Loan), and shall be binding upon Borrower, its successors and permitted assigns. Borrower may not assign any of its rights hereunder without Lender's prior written consent. Lender may assign or participate the Loan and this Mortgage without Borrower's consent, and may disclose information concerning Borrower and the Property to any actual or prospective assignee, participant, servicer or rating agency, subject to customary confidentiality obligations.

14.9 Expenses and Indemnity. Borrower shall pay all out-of-pocket costs and expenses incurred by Lender in connection with the origination, underwriting, documentation, closing, administration, enforcement and preservation of the Loan and this Mortgage, including reasonable attorneys' fees and disbursements, appraisal fees, environmental report fees, title insurance premiums, survey costs, recording fees, documentary stamp taxes, UCC filing and search fees, and construction inspection fees. Borrower shall indemnify, defend and hold Lender harmless from and against all claims, losses, liabilities, damages, costs and expenses (including reasonable attorneys' fees) arising out of or relating to (a) the Property, including any environmental condition or any violation of the Land Use Restriction, (b) the ownership, operation, renovation or leasing of the Property, (c) any Lease or any claim of any Tenant, (d) any breach by Borrower of any representation, warranty or covenant in the Loan Documents, and (e) any claim of any contractor, subcontractor, supplier or other Person arising from the Renovation Work, except to the extent caused by Lender's gross negligence or willful misconduct. This indemnity shall survive the repayment of the Loan, foreclosure and the release of this Mortgage.

14.10 Survival. The representations, warranties, indemnities, expense reimbursement obligations and other provisions that by their nature are intended to survive shall survive the Closing, the repayment of the Loan, the release of this Mortgage, any foreclosure, any deed in lieu of foreclosure, and any bankruptcy or insolvency proceeding affecting Borrower.

14.11 Counterparts; Electronic Signatures. This Mortgage may be executed in any number of counterparts, each of which shall be deemed an original and all of which together shall constitute one and the same instrument. Delivery of an executed counterpart by facsimile, PDF or other electronic transmission shall be as effective as delivery of a manually executed counterpart, and the parties consent to the use of electronic signatures to the extent permitted by the South Carolina Uniform Electronic Transactions Act.

14.12 Time of the Essence; No Waiver. Time is of the essence with respect to each obligation of Borrower under this Mortgage. No failure or delay by Lender in exercising any right, power or remedy shall operate as a waiver thereof, and no single or partial exercise of any right, power or remedy shall preclude any other or further exercise thereof.

14.13 Further Assurances; Recording. Borrower shall execute, acknowledge and deliver such further instruments, and take such further actions, as Lender may reasonably request to carry out the purposes of this Mortgage, including further financing statements, control agreements, collateral assignments, consents from contractors and Tenants, and estoppel certificates. Borrower authorizes Lender to record this Mortgage and to file such financing statements and other instruments as Lender deems appropriate. Borrower shall, upon demand, reimburse Lender for all recording and filing costs and taxes.

14.14 Documentary Stamp Taxes and Recording. Borrower shall pay all documentary stamp taxes, recording fees and other charges imposed by the State of South Carolina or Charleston County in connection with the recording of this Mortgage and the filing of any financing statement, and shall indemnify Lender against any liability for such taxes and fees. The maximum principal amount secured hereby is stated in Section 2.4 and shall not be increased without Borrower's consent and the payment of any additional tax.

14.15 Exculpation; Non-Recourse Carve-Outs. Except as otherwise provided in this Section 14.15, Lender's recourse for the Obligations shall be limited to the Property and the other collateral for the Loan, and no member, manager, officer, employee or affiliate of Borrower shall have any personal liability for the Obligations. Notwithstanding the foregoing, Borrower (and, to the extent provided in the Guaranty Agreement, Guarantor) shall be fully and personally liable for the entire Indebtedness in the event of any of the following (each, a "**Carve-Out Event**"): (a) fraud or intentional misrepresentation by Borrower or Guarantor in connection with the Loan; (b) misapplication or misappropriation of rents, security deposits, insurance proceeds, Condemnation awards, reserve or escrow funds or tenant improvement funds; (c) the filing of a voluntary petition in bankruptcy by or on behalf of Borrower, or the consent by Borrower to the appointment of a receiver or to an involuntary petition, or any collusive involuntary petition; (d) environmental liability arising from the acts or omissions of Borrower, Guarantor or their agents, including any violation of the Land Use Restriction or the institutional controls described in Article VIII; (e) any violation of the transfer restrictions set forth in Sections 7.2 or 7.3; and (f) any breach of the Single-Purpose Entity covenants set forth in Section 6.7. Liability under this Section 14.15 shall be in addition to, and not in limitation of, any liability under the Guaranty Agreement, the Completion Guaranty or the Environmental Indemnity Agreement. Borrower acknowledges that the non-recourse structure of the Loan depends upon Borrower's continuing compliance with Section 6.7 and Article VIII.

14.16 Attorneys' Fees. In any action or proceeding to enforce or interpret this Mortgage, the prevailing party shall be entitled to recover its reasonable attorneys' fees, costs and expenses from the non-prevailing party, in addition to any other relief to which it may be entitled.

14.17 No Partnership; No Third-Party Beneficiaries. Nothing in this Mortgage shall be deemed to create a partnership, joint venture or fiduciary relationship between Borrower and Lender. No Person other than the parties and their permitted successors and assigns (and Guarantor, to the extent of its rights and obligations under the Loan Documents) shall have any rights as a third-party beneficiary hereof, except that Guarantor is an intended beneficiary of, and consents to, the provisions of the Loan Documents to the extent such provisions affect Guarantor's obligations.

14.18 Joint and Several; Continuing Lien. The obligations of Borrower hereunder are joint and several with its obligations under the other Loan Documents. This Mortgage is a continuing lien and shall remain in full force and effect until the Obligations have been paid and performed in full and this Mortgage has been released of record.

14.19 Marshalling; Appraisal. Borrower waives, to the fullest extent permitted by law, any right to require Lender to marshal assets, to exhaust any security or to proceed against any Person before proceeding against the Property or any other collateral. Borrower waives any right to an appraisal of the Property in connection with any judicial foreclosure, to the extent permitted by law.

14.20 Usury Savings. The parties intend to conform strictly to applicable usury laws. If any amount collected or to be collected would exceed the maximum permitted by law, the excess shall be applied to principal (or refunded if principal has been paid in full), and the effective rate shall be automatically reduced to the maximum lawful rate.

14.21 Consent of Guarantor. By executing the consent appended hereto, Guarantor (a) consents to the terms of this Mortgage, (b) acknowledges that its obligations under the Guaranty Agreement, the Completion Guaranty and the Environmental Indemnity Agreement are independent of, and not conditioned upon, the enforcement of this Mortgage, and (c) agrees that Lender may amend, extend, renew, modify or release any Loan Document or any collateral without releasing or affecting Guarantor's obligations, subject to the terms of the Guaranty Agreement.

14.22 Interpretation of Title and Captions. The title of this Mortgage and the captions of its Articles and Sections are for convenience only and shall not affect its interpretation. This Mortgage is a "Mortgage and Security Agreement" within the meaning of the Loan Documents and the Title Commitment, and the terms "Mortgage," "Security Agreement," "Assignment of Rents" and "Assignment of Leases and Rents" shall be read together to give effect to Lender's security.

14.23 Relationship to Title Commitment Requirements. Borrower acknowledges that this Mortgage is the instrument described in Requirement 3 of Schedule B, Part I of the Title Commitment, that the absolute assignment of leases and rents contained in Article III is intended to satisfy Requirement 5 of Schedule B, Part I of the Title Commitment, and that the obligations of Borrower under Sections 6.8 and 14.13 are intended to satisfy Requirements 2, 4, 6, 7, 8, 9, 10, 11 and 12 thereof.

14.24 Non-Consolidation; Separateness Acknowledgment. Lender and Borrower acknowledge that the Loan is being made on the basis of Borrower's status as a Single-Purpose Entity, and Borrower agrees that it shall not take any action inconsistent with that status or with the separateness covenants set forth in Section 6.7.

[Signature pages follow.]

IN WITNESS WHEREOF, Borrower has executed this Mortgage and Security Agreement as of the date first written above.

BORROWER:

PALMETTO GATEWAY PARTNERS LLC,
a South Carolina limited liability company

By: **GRAYDON DEVELOPMENT GROUP LLC**,
its Managing Member

By: _____
Name: Neil Ashford Graydon
Title: Sole Member and Manager of
Graydon Development Group LLC

Date: _____

STATE OF SOUTH CAROLINA

COUNTY OF CHARLESTON

I, the undersigned Notary Public, do hereby certify that _____, personally appeared before me this day and acknowledged the due execution of the foregoing instrument on behalf of Palmetto Gateway Partners LLC.

WITNESS my hand and official seal this _____ day of _____, 2025.

_____
Notary Public for South Carolina
My Commission Expires: _____

(Notarial Seal)

ACCEPTED AND AGREED:

LENDER:

CALVERLEY HERITAGE BANK,
a Georgia state-chartered commercial bank

By: _____
Name: Marcus Prideaux
Title: Senior Vice President — Commercial Real Estate Lending

Date: _____

STATE OF GEORGIA

COUNTY OF CHATHAM

I, the undersigned Notary Public, do hereby certify that _____, personally appeared before me this day and acknowledged the due execution of the foregoing instrument on behalf of Calverley Heritage Bank.

WITNESS my hand and official seal this _____ day of _____, 2025.

_____
Notary Public for Georgia
My Commission Expires: _____

(Notarial Seal)

CONSENT AND AGREEMENT OF GUARANTOR

The undersigned, **NEIL ASHFORD GRAYDON**, individually, being the Guarantor under the Guaranty Agreement, the Completion Guaranty and the Environmental Indemnity Agreement referenced in the foregoing Mortgage and Security Agreement, hereby (a) consents to and acknowledges the terms of the foregoing Mortgage and Security Agreement, (b) acknowledges that his obligations under the Guaranty Agreement, the Completion Guaranty and the Environmental Indemnity Agreement are independent of, and not conditioned upon, the enforcement of the Mortgage or the realization of Lender's security, and (c) agrees that Lender may amend, extend, renew, modify or release any Loan Document or any collateral without releasing, reducing or otherwise affecting his obligations, subject to the terms of the Guaranty Agreement. The undersigned further acknowledges that he has reviewed Article VIII (Environmental Matters and the SCDHEC Land Use Restriction) and Section 14.15 (Exculpation; Non-Recourse Carve-Outs) of the foregoing Mortgage.

_____

NEIL ASHFORD GRAYDON, individually

Date: _____

EXHIBIT A

LEGAL DESCRIPTION OF THE PROPERTY

The Land referred to in this Mortgage is located in the City of Charleston, County of Charleston, State of South Carolina, and is described as follows:

PARCEL ONE (Lots 7, 8 and 9):

ALL that certain piece, parcel or lot of land, together with the improvements thereon, situate, lying and being in the City of Charleston, County of Charleston, State of South Carolina, being shown and designated as **Lots 7, 8 and 9 of the Hampstead Village Plat**, as recorded in Plat Book 41 at Page 218, in the Office of the Register of Mesne Conveyances for Charleston County, South Carolina, and having such shapes, metes, bounds and measurements as shown on said plat, reference to which is hereby made for a more complete and accurate description thereof.

Being commonly known as 520–534 King Street, Charleston, South Carolina 29403.

Tax Map Nos.: 460-12-04-007 (Lot 7), 460-12-04-008 (Lot 8) and 460-12-04-009 (Lot 9).

PARCEL TWO (Vacated Anson Lane Strip):

TOGETHER WITH that certain strip or parcel of land formerly constituting a portion of Anson Lane, a public street, which was vacated and closed by the City of Charleston pursuant to Ordinance No. 2019-084, and conveyed to the predecessor in title by that certain Quitclaim Deed recorded in Deed Book 1128 at Page 443, in the Office of the Register of Mesne Conveyances for Charleston County, South Carolina, said strip being adjacent to and contiguous with Lot 7 of the Hampstead Village Plat, as more particularly described and shown on the plat prepared by Cartwright Land Surveying LLC dated January 15, 2025, and recorded in Plat Book 64 at Page 91, in the Office of the Register of Mesne Conveyances for Charleston County, South Carolina.

BEING the same property conveyed to Borrower by deed recorded in the Office of the Register of Mesne Conveyances for Charleston County, South Carolina, simultaneously with the recording of this Mortgage.

The foregoing description is the description of the Land contained in Schedule A of Commitment No. PT-2025-04-1178 issued by Prestige Title & Settlement Services LLC, effective February 28, 2025, and is supplemented by the metes and bounds description of the Land set forth in the ALTA/NSPS Land Title Survey of the Property prepared by Cartwright Land Surveying LLC dated January 15, 2025, and certified to Lender, Borrower and the title insurer, which metes and bounds description is incorporated herein by this reference as though fully set forth. In the event of any conflict between the description set forth above and the description contained in such survey, the survey description shall control.

EXHIBIT B

PERMITTED EXCEPTIONS

This Mortgage is subject to the following Permitted Exceptions, being the matters shown in Schedule B, Part II of the Title Commitment that have been approved in writing by Lender, and such other matters as Lender may hereafter approve in writing. No matter shown in the Title Commitment that is not listed below has been approved by Lender.

No.	Permitted Exception	Source / Recording Reference
1	Real property taxes for the year 2025 and all subsequent years on Tax Map Nos. 460-12-04-007, 460-12-04-008 and 460-12-04-009, County of Charleston, State of South Carolina, a lien not yet due and payable	Schedule B-II, Exception 2
2	Easement in favor of South Carolina Electric & Gas for the installation, maintenance, repair and replacement of underground utility lines, affecting the westerly boundary of Lot 9	Deed Book 987 at Page 112, RMC Office
3	Land use restriction and institutional control imposed by the South Carolina Department of Health and Environmental Control (Site ID SC-29403-0772), prohibiting residential use of the ground floor of Lot 7 and requiring maintenance and periodic inspection of the vapor barrier beneath the slab of the ground-floor commercial space on Lot 7 (Bay 1, 520 King Street). This exception may not be removed. Borrower's obligations with respect thereto are set forth in Article VIII	Deed Book 1203 at Page 89, RMC Office
4	Encroachment of a decorative iron balcony extending approximately two and one-half (2.5) feet beyond the front façade of the Improvements over and across the King Street public right-of-way, as shown on the ALTA/NSPS Survey prepared by Cartwright Land Surveying LLC dated January 15, 2025	Schedule B-II, Exception 5
5	Rights of tenants in possession under the Leases described on Exhibit D, as tenants only, without any option to purchase or right of first refusal to purchase the Land or any portion thereof	Schedule B-II, Exception 6
6	Any and all matters shown on the plat recorded in Plat Book 41 at Page 218, RMC Office, including setback lines, rights-of-way, drainage easements and notations thereon	Schedule B-II, Exception 7
7	Those matters shown on the plat recorded in Plat Book 64 at Page 91, RMC Office (Cartwright Land Surveying LLC, dated January 15, 2025)	Schedule A, Parcel Two

Conditions to Approval. Lender's approval of the foregoing Permitted Exceptions is conditioned upon the following, each of which shall be satisfied at or before Closing: (a) issuance of the ALTA lender's title insurance policy in the amount of $14,750,000.00, with the endorsements required by Section 6.8, including a survey endorsement deleting the standard survey exceptions, a zoning endorsement, an access endorsement, a comprehensive endorsement, a contiguity endorsement, an

encroachment endorsement (ALTA 28.1) as to the balcony encroachment described in item 4 above, and a future advance endorsement covering the Renovation Holdback; (b) delivery of an ALTA/NSPS Land Title Survey conforming to the 2021 Minimum Standard Detail Requirements and meeting the requirements of Requirement 9 of the Title Commitment; (c) delivery of gap indemnities, owner's affidavits and lien waivers satisfactory to the title insurer and Lender; and (d) Lender's receipt of evidence of the continued validity of any encroachment license or agreement with the City of Charleston relating to the balcony described in item 4, or, in the absence thereof, Lender's written acknowledgement that no such license has been located.

EXHIBIT C

RENOVATION BUDGET AND HOLDBACK ALLOCATION

The Renovation Work shall be performed in accordance with the following Renovation Budget. Advances of the Renovation Holdback shall be limited to the amounts allocated to each line item in the "Renovation Holdback" column, and Borrower shall fund the amounts allocated to Borrower's equity.

Line Item	Description	Total Budget	Renovation Holdback	Borrower Equity
1. HVAC Replacement	Replacement of rooftop HVAC units, ductwork and controls (hard cost under Construction Contract)	$1,200,000.00	$850,000.00	$350,000.00
2. Elevator Modernization	Modernization of the passenger elevator serving floors 1–3, including cab, controls and code upgrades (hard cost under Construction Contract)	$475,000.00	$375,000.00	$100,000.00
3. Façade Restoration	Masonry repointing, window restoration, decorative ironwork repair (including the King Street balcony) and exterior painting, subject to BAR approval (hard cost under Construction Contract)	$625,000.00	$425,000.00	$200,000.00

Line Item	Description	Total Budget	Renovation Holdback	Borrower Equity
4. Tenant Improvement Allowances	Allowances for lease-up of vacant Bay 2 (3,800 SF) and Suite B (9,800 SF), disbursed on lease execution and build-out	$550,000.00	$450,000.00	$100,000.00
5. Soft Costs and Contingency	Architectural, engineering, permit, construction management, legal and inspection fees, and contingency (outside the Construction Contract)	$300,000.00	$150,000.00	$150,000.00
TOTAL		**$3,150,000.00**	**$2,250,000.00**	**$900,000.00**

Contract Reference. The Construction Contract between Borrower and Beaufort Builders Group LLC (South Carolina General Contractor License No. SC-GC-47921) provides for a contract sum of $2,850,000.00 covering the hard costs of construction described in line items 1 through 4 above. The balance of $300,000.00 for soft costs and contingency described in line item 5 is outside the scope of the Construction Contract. Because the Renovation Holdback of $2,250,000.00 is less than the $2,850,000.00 contract sum, Borrower is responsible for funding $600,000.00 of the hard costs of construction, together with the $300,000.00 of soft costs and contingency, from Borrower's own funds, as reflected in the Borrower Equity column above.

Substantial Completion Deadline: June 15, 2026 (fourteen (14) months after the Closing Date).

EXHIBIT D

SCHEDULE OF EXISTING LEASES (RENT ROLL)

The following Leases are in effect as of the date of this Mortgage: Bay 1 is located on Lot 7 (520 King Street), Bay 2 on Lot 8 (520 King Street), and Bay 3 on Lot 9 (534 King Street). Total occupied area is 17,400 square feet of 31,000 square feet of gross building area (56.13%). Borrower shall deliver an updated, certified rent roll concurrently with each Advance and with each quarterly reporting delivery under Section 6.6.

Space	Tenant	SF	Lease Type	Annual Base Rent	Expiration	Security Deposit
Bay 1	Lowcountry Provisions Inc.	3,800	NNN	$108,300 ($28.50/SF)	12/31/2027	$18,050.00
Bay 2	VACANT (subject to ROFR)	3,800	—	—	—	—
Bay 3	Harmon & Wren Design Studio LLC	3,800	Modified Gross	$91,200 ($24.00/SF)	06/30/2026	$15,200.00
Suite A	Tidemark Consulting Group LLC	9,800	NNN	$215,600 ($22.00/SF)	03/31/2029	$35,933.00
Suite B	VACANT	9,800	—	—	—	—
TOTAL	3 of 5 units occupied	31,000		$415,100.00		$69,183.00

Escalations. The Lowcountry Provisions Inc. Lease provides for a three percent (3%) annual increase effective each January 1, beginning January 1, 2025. The Harmon & Wren Design Studio LLC Lease provides for a two and one-half percent (2.5%) annual increase effective each July 1, beginning July 1, 2023. The Tidemark Consulting Group LLC Lease provides for a two and one-half percent (2.5%) annual increase effective each April 1, beginning April 1, 2026. The base rents stated in the table above are the base rents stated in the Leases as delivered to Lender; Borrower shall certify the escalated base rents in effect on each reporting date.

Lease Provisions Relevant to Lender. The following provisions of the existing Leases are material to Lender and are acknowledged by Borrower:

Lease	Assignment / Subletting	Estoppel	SNDA	Renewal Options
Lowcountry Provisions Inc.	No provision; Lease is silent and contains no consent requirement or prohibition	None; Lease does not require estoppel certificates	None; no reference to any mortgage or to lender protections	One 5-year option, notice by 03/31/2027, rent at FMV with a floor at then-current rent

Lease	Assignment / Subletting	Estoppel	SNDA	Renewal Options
Harmon & Wren Design Studio LLC	Consent required, not to be unreasonably withheld; subletting of up to 50% on 30 days' notice	Within 15 business days of request	Lease subordinates to any mortgage, provided a commercially reasonable non-disturbance agreement is delivered	One 3-year option, notice by 12/31/2025, rent at 95% of FMV; ROFR on Bay 2 (15 business day period) surviving renewal
Tidemark Consulting Group LLC	Consent required, withholdable in Landlord's sole discretion	Within 10 business days of request	Lease subordinates to any mortgage; Tenant agrees to execute an SNDA on request	Two 3-year options, notice by 03/31/2028 for the first, rent at FMV

Additional Lease Matters. Borrower shall deliver to Lender, within ten (10) Business Days after Lender's request, copies of each Lease, each amendment, each guaranty of a Lease, and any side letter or agreement affecting any Lease. No Lease has been recorded as a memorandum of lease, and Borrower shall not record any memorandum of lease without Lender's prior written consent.

EXHIBIT E

FORM OF RENOVATION DISBURSEMENT REQUEST AND ARCHITECT'S CERTIFICATE

This form shall be completed by Borrower and Borrower's architect of record and submitted to Lender in accordance with Section 9.3, together with the AIA G702/G703 Application and Certificate for Payment and the lien waivers, title date-down endorsement and other documentation described in Section 9.3.

Item	Information Required
1. Request No. / Date	Draw number (no more than one per calendar month) and date of submission (not less than ten (10) Business Days before the requested funding date)
2. Requested Funding Date	Date on which the Advance is requested
3. Amount Requested	Total amount requested: $_____, allocated by budget line item of Exhibit C
4. Cumulative Amounts	Total previously advanced from the Renovation Holdback: $_____; total Borrower equity previously funded: $_____
5. Remaining Availability	Remaining Renovation Holdback: $_____; remaining availability under each budget line item: $_____
6. Retainage	Retainage previously withheld (10%): $_____
7. Percentage of Completion	Percentage of completion of the Renovation Work, by trade and in the aggregate, as certified by the architect
8. Lien Waivers	Conditional lien waivers for the current draw and unconditional lien waivers for all prior draws, for the general contractor and each subcontractor performing work exceeding $25,000
9. Title Date-Down	Title endorsement confirming that no intervening liens or encumbrances have been filed against the Property since the most recent endorsement
10. Vapor Barrier Certification	Certification that no work covered by this draw request has penetrated, altered or compromised the vapor barrier beneath the ground-floor slab of Lot 7, or, if such work is proposed, that SCDHEC notification and approval have been obtained and delivered to Lender
11. Architect's Certificate	Certification by the architect of record that the work covered by this draw request has been completed in accordance with the approved plans and specifications, and that the Renovation Work remains on schedule to achieve Substantial Completion by June 15, 2026
12. Borrower's Certification	Certification that the representations and warranties in Article V are true and correct, that no Event of Default has occurred and is continuing, and that Borrower has funded its proportionate equity share for the work covered by this request

Borrower: PALMETTO GATEWAY PARTNERS LLC By: _____ Date: _____

Architect of Record: _____ By: _____ Date: _____

[End of Mortgage and Security Agreement]